60-1

[redacted]

Purpose: To provide housekeeping and overhead funds for the [redacted] B

Initiated: (In process)

Contractor: [redacted] B

Cost: $185,607.00 for current year.

Status: On continuing basis

[redacted]

60-2

RECEIPT

Receipt is hereby acknowledged of Official Check No. G56332, dated February 26, 1962, drawn on [redacted], payable to the [redacted] in the amount of $607.00.

[redacted]

Date 3-5-62

60-3

[redacted]

(When Filled In)

No. 85

Cost Account 3125-1370-3902

Object Class

Date	Remarks and References	Obligations Incurred	Obligations Liquidated	Unliquidated Balance
1/1	Mdwstn Sub 8 60	18500.00		18500.00
	Jan 8 185 MI		18500.00	

[redacted]

(When Filled In)

60-4

[redacted]

DATE: 26 April 1961

MEMORANDUM FOR : THE COMPTROLLER

ATTENTION : Finance Division

SUBJECT : MKULIRA, Subproject 60

Under the authority granted in the memorandum dated 13 April 1955 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda, Subproject 60 has been approved, and $18,500.00 of the over-all Project MKULTRA funds have been obligated to cover the subproject's expenses and should be charged to cost center 225-1390-3902.

[redacted]
SSD/Research Branch

APPROVED FOR OBLIGATION OF FUNDS:

Original signed by [redacted]

Research Director

Date: 12 JUL 1961

I CERTIFY THAT FUNDS ARE AVAILABLE
OBLIGATION REFERENCE NO. 95
CHARGE TO ALLOTMENT NO. 225-1390-3902

AUTHORIZING OFFICER

Distribution:
Orig. & 2 - Addressee
1 - TSD/FASS
2 - TSD/RB

[redacted]

60-5

[redacted]

9 February 1962

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSD/Budget Officer

SUBJECT : MKULTRA, Subproject 60, Invoice #9, Allotment 2125-1390-3902

1. Invoice No. 9 is attached covering the above subproject. Payment should be made as follows:

Cashier's Check in the amount of $607.00, drawn on a [redacted] payable to the [redacted] B

2. Please forward the check to Chief, TSD/Research Branch through TSD/Budget Officer by 26 February 1962.

3. This is a final invoice. However, since it is anticipated that additional funds may be obligated for this project, the files should not be closed.

[redacted] G56332

CHECK [redacted] IN THE AMOUNT OF $ 607.00

RECEIVED

3/3/62 [redacted] A

[redacted] A

Chief
TSD/Research Branch

Attachment:
Invoice & Certifications

Distribution:
Orig & 2 - Addressee
1 - TSD/FASS
2 - TSD/RB

I CERTIFY THAT FUNDS ARE AVAILABLE OBLIGATION NOTICE NO. 116 CHARGE TO APPROPRIATION 2125-1390-3902

AUTHORIZING OFFICER

9 Feb 62 TSD/[redacted]

A

[redacted]

60-3

CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27	28-33 T/A NO. / P.O. NO. / SUB. DIV.	34-39 STATION CODE / PROP. NO. / PROJECT NO.	40-42 EXPEND CODE / FY	43 FUNDS	45-46 PAY PER. LIQ. CODE	47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO.	53 CA YR	54-57 GENERAL LEDGER ACCT. NO.	58-67 ALLOT. OR COST ACCT. NO.	62-67 CK. NO. X REF. NO.	68-70 DUE DATE / OBJECT CLASS	71-80 AMOUNT DEBIT	AMOUNT CREDIT
[illegible]			86 2	1		16		6010	25 13903402		752	60700	
[illegible]													60700

EXPLANATION OF ENTRY — TOTALS

[illegible]	PREPARED BY	DATE	REVIEWED BY	CERTIFIED FOR PAYMENT OR CREDIT
				DATE / SIGNATURE OF CERTIFYING OFFICER

[illegible] (10-46)

60-5

[redacted]

INVOICE

For Services $607.00

[redacted] B

CERTIFICATIONS

(1) It is hereby certified that this is Invoice 9 applying to Sub-project No. 60 of MKULTRA, that performance is satisfactory, that services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSD/RB, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSD/Research Branch

Date: 9 February 1962

(2) It is hereby certified that this invoice applies to Subproject 60 of MKULTRA which was duly approved, and that the project is being carried out in accordance with the memorandum of 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date:

[redacted]

60-6

RECEIPT

Receipt is hereby acknowledged of Cashier's Check No. 137555, dated November 29, 1961, drawn on the [redacted] in the amount of $4,439.02, payable to the [redacted].

[redacted]

Date: December 6, 1961

60-7

[redacted] B

Examination for the Year ended December 31, 1960

[redacted] B

60-7

[redacted] B

[redacted] B

[redacted] January 27, 1961

To the Board of Directors of the [redacted] B

B

B [redacted]

We have examined the balance sheet of the [redacted] as at December 31, 1960 and the related statements of income, expenses and unexpended income and changes in restricted funds for the year then ended. Our examination was made in accordance with generally accepted auditing standards, and accordingly included such tests of the accounting records and such other auditing procedures as we considered necessary in the circumstances.

In our opinion, the accompanying balance sheet and statements of income, expenses and unexpended income and changes in restricted funds present fairly the financial position of the [redacted] B [redacted] at December 31, 1960, and the results of its operations for the year then ended, in conformity with generally accepted accounting principles applied on a basis consistent with that of the preceding year.

B [redacted]

Exhibit A

B [redacted]

BALANCE SHEET

As at December 31, 1960

Assets

Cash		
In banks	$ 203,771.29	
On hand	200.00	203,971.29
Deposits		675.00
Furniture and fixtures	8,822.95	
Less Reserve for depreciation	2,992.55	5,830.40
		$ 210,476.69

Liabilities

Accounts payable		$ 1,767.08
Taxes payable		
Withheld from employees	1,868.70	
Social security and unemployment	569.05	2,437.75
Reserve for payments on grants		78,847.65
Restricted contributions, Exhibit C		3,231.64
B [redacted] Exhibit C		4,087.20
Unexpended income, Exhibit B		120,105.37
		$ 210,476.69

60-7

Exhibit B

B

INCOME, EXPENSES AND UNEXPENDED INCOME

For the Year ended December 31, 1960

Income			
Contributions		$ 303,181.98	
Management fee for restricted contributions		2,494.43	
Interest income		7,529.26	313,205.67
Expenses			
Salaries	45,243.66		
Rent and utilities	1,624.83		
Communications	2,173.43		
Consultants' fees	13,335.84		
Travel	9,427.06		
Promotion	1,959.45		
Insurance	597.16		
Payroll taxes	1,576.74		
Other taxes	10.61		
Reference library	166.14		
Legal and audit fees	250.00		
Depreciation	912.18		
Office supplies and postage	1,428.73		
Dues and subscriptions	153.00		
Teachers insurance annuity	2,001.36		
Conference expense	1,678.42		
Editorial expenses	27,439.85		
Employee moving expense	1,225.96		
Miscellaneous	680.47	111,884.89	
Grants			
[redacted]	15,000.00		
	20,000.00		
	2,680.87		
	17,037.00		
Forward	$ 54,717.87	111,884.89	313,205.67

60-7

Exhibit B
(page 2)

Brought forward	$ 54,717.87	111,884.89	313,205.67
	1,000.00		
	1,900.00		
	7,790.00		
	29,229.50		
	20,000.00		
	30,890.00		
	18,047.00		
	4,250.00		
	360.00		
	46,179.00		
	9,127.16		
	14,000.00		
	34,465.00		
	20,000.00		
	3,000.00		
	4,606.00		
	9,270.40		
	4,511.25		
	5,750.00		
	2,000.00		
	6,500.00		
	1,500.00		
	4,470.00		
	7,490.00		
	4,225.00		
	4,085.00		
	8,750.00		
	6,270.06		
	3,333.36	367,716.60	479,601.49
Excess of expenditures over income			(166,395.82)
Unexpended income, December 31, 1959			286,501.19
Unexpended income, December 31, 1960, Exhibit A			$ 120,105.37

60-7

Exhibit C

[redacted]

CHANGES IN RESTRICTED FUNDS

For the Year Ended December 31, 1960

Restricted Contributions

Balance, December 31, 1959		$ 3,132.33
Add Receipts		
Bc [redacted]	24,888.66	
[redacted]	103.81	
Clinics	818.94	
Miscellaneous	142.25	25,953.66
		29,085.99
Less Disbursements		
Salaries	17,601.96	
Rents and utilities	454.78	
Special payments	1,604.00	
Travel	159.43	
Renovations and repairs	100.00	
Supplies	3,306.68	
Consultant fees	325.00	
Taxes and Social Security	753.57	
Insurance	25.50	
Administrative fees	1,244.43	
Miscellaneous	279.00	25,854.35
Balance, December 31, 1960		$ 3,231.64
		Exhibit A

B [redacted]

Receipts		
B [redacted]		$ 5,875.00
Less Disbursements		
Salaries	165.00	
Fund raising	114.04	
Travel	2.10	
Printing	105.00	
Postage	20.00	
Supplies	46.16	
Commissions	10.00	
Repairs	7.50	
Administrative fees	1,250.00	
Miscellaneous	68.00	1,287.80
Balance, December 31, 1960		$ 4,087.20
		Exhibit A

60-8

[redacted]

1 November 1961

MEMORANDUM FOR: THE RECORD

SUBJECT : Transfer of Project MKULTRA, Subproject 114 to Subproject 60.

1. The research of [redacted] which has been funded to date through Subproject 114, is currently being integrated into the total research effort of the [redacted] MKULTRA, Subproject 60.)

2. The balance of the funds for Subproject 114 will be sent to the [redacted] for disbursal to [redacted] Accounting for these funds shall accord to practices established for the [redacted] With the transfer of the remaining funds Subproject 114 shall be considered closed.

[redacted]
TSD/Research Branch

[redacted]

60-9

[redacted] A

RECEIPT

Receipt is hereby acknowledged of the following check:

Cashier's Check No. A277148, dated August 11, 1961, in the amount of $185,000.00, drawn on a [redacted] payable E
to the [redacted] B

[redacted]

Date: August 24, 1961

60-10

RECEIPT

Receipt is hereby acknowledged of the following check:

[redacted] Check No. 184404, dated July 27, 1961, in the amount of $12,917.88, drawn on the [redacted] payable to the [redacted]

E

B

[redacted]

C

Date: July 31, 1961

// 60

60-11

[redacted]

2 August 1961

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSD/Budget Officer

SUBJECT : MKULTRA, Subproject 60, Invoice No. 8
Allotment 2125-1390-3902

1. Invoice No. 8 is attached covering the above subproject. Payment should be made as follows:

E [redacted] Cashier's Check in the amount of $185,000.00, drawn on [redacted] payable to the [redacted] B

2. Please forward the check to Chief, TSD/Research Branch through TSD/Budget Officer by 16 August 1961.

[redacted] A
TSD/Research Branch

Attachment:
Invoice & Certification

I CERTIFY THAT FUNDS ARE AVAILABLE
OBLIGATION SUBSIDIARY No. 116
CHARGE TO ALLOTMENT No. [redacted]
ACCOUNTING OFFICER

Distribution:
Orig & 2 - Addressee
1 - TSD/FASS
2 - TSD/RB

TSD/[redacted] 2 August 1961

CHECK [redacted] THE AMOUNT OF $185,000
RECEIVED

A [redacted] 16 Aug 61

A

[redacted]

60-11

[redacted]

INVOICE

For Services $185,000.00

[redacted] B.

CERTIFICATIONS

(1) It is hereby certified that this is Invoice 8 applying to Sub-project No. 60 of MKULTRA, that performance is satisfactory, that services are being accomplished in accordance with mutual agreements, that a detailed records of the payments and receipts is on file in TSD/RD, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSD/Research Branch

Date:

(2) It is hereby certified that this invoice applies to Subproject 60 of MKULTRA which was duly approved, and that the project is being carried out in accordance with the memorandum of 11 April 1951 from the DCI to the DD/A, and the extension of this authority to subsequent memoranda.

Research Director

Date:

[redacted]

60-12

[redacted]

DRAFT/[redacted]
25 May 1961

MEMORANDUM FOR: THE RECORD

SUBJECT : Continuation of MKULTRA, Subproject 60

1. The purpose of Subproject 60 is to provide funds to the [redacted] for the continuation of activities in behalf of TSD/RB. [redacted] was until recently known as the [redacted]

2. The [redacted] has, in addition to changing its name, recently moved its offices from [redacted] to [redacted] This move served to gain larger and better organized quarters as well as better access to many members of the professional community upon whose services the [redacted] calls.

3. A careful scrutiny of the [redacted] potential for increased service to TSD/RB, and the Agency as a whole, has been carried out during the past year by representatives of Chief/TSD/RB. The result of this scrutiny indicated that there were at least two directions in which the [redacted] could be utilized more effectively. The first was to increase the [redacted] capability for attacking basic research problems whose solution would lead to further the clandestine capability of the Agency. Examples of such research areas are the efforts being made in lip reading and in advancing indirect assessment techniques, i.e.,

PAGE #2 OF [redacted]
DOCUMENT IS MISSING.

60-12

[redacted]

6. For security considerations, and in order to authenticate the cover of this organization, the accounting and audit practices used by the [redacted] shall conform to [redacted] as applicable to the [redacted] Sufficient accounting for the funds advanced under this project therefore shall be the submission for retention by the sponsor of a copy of the annual CPA statement as prepared for the [redacted] Funds included in such an audit report shall be considered to have been adequately accounted for by the Sponsor.

7. The permanent members of the [redacted] are all cleared and witting. They will also be available to duly designated Agency officials for all necessary purposes. However, to maintain the security of the operation, Agency employees except duly designated TSD/RB personnel will not make contact with [redacted] personnel in [redacted] Exceptions to this shall be determined by C/TSD/RB.

[redacted]
Chief
TSD/Research Branch

APPROVED FOR OBLIGATION OF FUNDS:

[redacted]
Research Director

Date: 18 JUL 1961

Attachment:
Budget
Distribution: Orig only

[redacted]

60-13

May 3, 1961

Memorandum to [redacted] A

Subject: Budget - [redacted] 1961-62 B

Attached is the [redacted] Budget for 1961-62. B

[redacted] A

60-13

B

[redacted]

Salary Schedule
Fiscal Year 1961-62

Administration	
[redacted]	15,000.00
[redacted]	8,867.00
Mr. X	14,400.00
[redacted]	5,200.00
Miss X	5,000.00
Research	
[redacted]	14,400.00
Sr. Psychologist ½ year	7,200.00
Jr. Psychologist	9,000.00
Secretary	4,680.00
Editorial	
[redacted]	13,000.00
Assistant	10,000.00
[redacted]	4,680.00
	111,427.00

60-14

[redacted]
(When Filled In)

No. 116

Cost Account 2135-1390-3902

Object Class

Date	Remarks and References	Obligations Incurred	Obligations Liquidated	Unliquidated Balance
20 JUL 1961	Mbulla Lot 60	185,607.00		185,607.00
20 JUL 1961	Invoice # 7		12,917.77	172,658.1
"	8 166,500 / 18,500 / 125.00		166,500.00	1
12 FEB 1962	9		607.00	

[redacted]
(When Filled In)

60-15

DATE: 25 May 1961

MEMORANDUM FOR : THE COMPTROLLER

ATTENTION : Finance Division

SUBJECT : MKULTRA, Subproject 61

Under the authority granted in the memorandum dated 13 April 1961 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda, Subproject 61 has been approved, and $185,627.00 of the over-all Project MKULTRA funds have been obligated to cover the subproject's expenses and should be charged to cost center 2185-1390-3932.

[redacted]
Chief
TSD/Research Branch

I CERTIFY THAT FUNDS ARE AVAILABLE
OBLIGATION REFERENCE NO. 116
CHARGE TO ALLOTMENT NO. 2185-1390-3932

[redacted]
ACCOUNTING OFFICER

APPROVED FOR OBLIGATION OF FUNDS:

Original signed by
[redacted]
Research Director

Date: 18 JUL 1961

Distribution:
Orig. & 2 - Addressee
1 - TSD/FASS
2 - TSD/RB

[redacted]

60-16

[redacted]

26 April 1961

MEMORANDUM FOR: Chief, Finance Division

VIA : TSD/Budget Officer

SUBJECT : MKULTRA, Subproject 60, Invoice No. 7
Allotment 2125-1390-3902

1. Invoice No. 7 in the amount of $13,500 is attached. However, due to refunds of $5,582.12 from this and one other project (as per attachments) payment should be made as follows:

Cashier's Check in the amount of $12,917.88, drawn on a local bank, payable to the [redacted]

2. The checks should be forwarded to Chief, TSD/Research Branch, through TSD/Budget Officer, no later than Monday, 8 May 1961.

3. This is a final invoice. However, since it is anticipated that additional funds will be obligated for this project the files should not be closed.

[redacted]
Chief
TSD/Research Branch

Attachment:
Invoice & Certifications

CHECK 184404 IN AMOUNT OF $12,917.88 RECEIVED [redacted] 28 July 1961

Distribution:
Orig & 2 - Addressee
1 - TSD/FASS
2 - TSD/RB

TSD/RB/[redacted] (26 Apr 61)

[redacted]

60-16

RECEIPT

Receipt is hereby acknowledged of the following check:

Treasurer's Check No. 184404, dated July 27, 1961, in the amount of $12,917.88, drawn on the [redacted] payable to the [redacted]

E
B

Date:

60-17

[redacted]

INVOICE

For services $18,500.00

[redacted] B

CERTIFICATIONS

(1) It is hereby certified that this is Invoice No. 7 applying to MKULTRA, Subproject 60, that performance is satisfactory; that the services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSD/RB, that the bill is just and correct and that payment thereof has not yet been made.

Chief, TSD/Research Branch

Date: _____

(2) It is hereby certified that this invoice applies to MKULTRA, Subproject 60, which was duly approved, and that the project is being carried out in accordance with the memorandum, dated 13 April 1953, from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date: _____

[redacted]

60-78

[redacted]

CERTIFICATION

(3) It is hereby certified that the program under Subproject 89 has been satisfactorily completed and returned unused funds. In addition, Subproject 60, which is still continuing has also returned unexpended funds from its 1959-60 annual budget. Therefore, it is requested that the amounts as shown below on Invoice No. 7 of Subproject 60 be credited to the subprojects as shown below.

Subproject	Amount	MOR	Allotment
# 89	$3721.78	637	9-2502-15-902
# 60	$1860.34	73	0525-1009-4902

Chief, T&D/Research Branch

Date: _____

Research Director

Date: _____

[redacted]

60-19

[redacted]

DRAFT/[redacted] A

26 April 1961

MEMORANDUM FOR: THE RECORD

SUBJECT: Supplemental Funds, MKULTRA, Subproject 60

1. The purpose of this subproject is to fund the activities of the [redacted] in behalf of TSD/RB projects.

2. Supplemental funds are needed to reimburse the [redacted] for several expenses not anticipated when the annual budget for the current year was prepared. The largest of these expenses is associated with the [redacted] move to its new office space in [redacted] The remaining expenses result from additional unforeseen consultant travel, printing costs, and secretarial help.

3. The [redacted] will continue to operate as a funding and cover organization for TSD/RB activities.

4. It is estimated that supplemental funds needed to carry out the [redacted] activities for the balance of the year will not exceed $18,500.00. Charges should be made against Allotment 2125-1390-3902.

5. Equipment purchased by the [redacted] shall remain the property of the U.S. Government and will be returned should the [redacted] be dissolved.

6. For security considerations, and in order to authenticate

60-19

[redacted]

the cover of this organization, the accounting and audit practices used by the [redacted] shall conform to [redacted] as applicable to the [redacted] Sufficient accounting for the funds advanced under this project therefore shall be the submission for retention by the sponsor of a copy of the annual CPA statement as prepared for the [redacted] Funds included in such an audit report shall be considered to have been adequately accounted for by the sponsor.

7. The permanent members of the [redacted] are all cleared and witting.

[redacted]
Chief
TSD/Research Branch

APPROVED FOR OBLIGATION OF FUNDS:

[redacted]
Research Director

Date: [redacted]

Distribution:
Original Only

[redacted]

60-20

ULTRA #60

[redacted]

DATE: 26 April 1961

MEMORANDUM FOR : THE INSPECTOR

ATTENTION : Finance Division

SUBJECT : HULLMA, Subproject 6
Additional Auth #6

Under the authority granted in the memorandum dated 13 April 1961 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda, Subproject 6 has been approved, and $11,500.00 of the over-all Project HULLMA funds have been obligated to cover the subproject's expenses and should be charged to cost center 2122-1502-3942.

[redacted]
Chief
TSD/Research Branch

APPROVED FOR OBLIGATION OF FUNDS:

Research Director

Date:

Distribution:
Orig. & 2 - Addressee
1 - TSD/FASS
2 - TSD/RB

60-21

[redacted] B

December 23, 1960

[redacted] C

Dear [redacted] C

Enclosed please find the original and one copy of our financial analysis of your organization.

In general, the results indicate that the [redacted] B can greatly expand its activities within the limits of current income levels. We can discuss this matter in more detail at our next meeting.

With kindest regards,

Yours sincerely,

[redacted] C

[redacted] C

COPY

60-21

Financial Analysis [redacted] B

The undersigned examined the financial reports of the [redacted] B (hereinafter referred to as [redacted] B covering the period May 25, 1955 to November 30, 1960.

The [redacted] B was incorporated in [redacted] B on May 9, 1955 as a non-profit membership corporation. It obtained tax-exempt status from both the U.S. Treasury Department and the [redacted] B which status has been maintained current to date.

FINANCIAL OPERATIONS

Attachment A is a Statement of Income, Expenses and Unexpended Income covering the period analysed. It is seen that from May 25, 1955 to November 30, 1960, the [redacted] B received income to the extent of $1,665,144.36 and incurred expenses and made Grants totalling $1,447,505.38. There was an excess of Income over Expenses & Grants amounting to $237,639.

Below is depicted an overall analysis of the source and use of each dollar of income during the period under consideration.

SOURCE	
Contributions	$ .99
Management Fees)	
Interest Income)	.01
Discounts)	
Total	$1.00
USE	
Administrative Expenses:	
Salaries	$ .09
Printing & Editorial Costs	.04
Consultants' Fees	.02
Travel	.02
All other Expenses	.04
Total	$ .21
Grants	.65
Total	$ .86
UNEXPENDED FUNDS	.14
Total	$1.00

COPY

60-21

It is seen that for each dollar of income accruing to the [redacted] B
79 cents was received from contributions and 1 cent was derived from investment fees, interest income and discounts. Against each dollar of income, the [redacted] expended 24 cents for Administrative Costs (Salaries-9 cents, Printing & Editorial-4 cents, Consultant's Fees-2 cents, Travel-2 cents and all other costs-4 cents) and 65 cents for Grants. An amount of 11 cents remained unexpended. B

The foregoing shows that the [redacted] has followed what appears to be an overly conservative spending policy. While it is conceivable that funds have been disbursed, only carefully, it would seem that there is a more than ample safety margin for the [redacted] to expand its activities within the limits of current income levels. B

The amount of cash balances at the end of each of the fiscal years reviewed was as follows:

Year	Amount
1955	$ 40,[illegible]7.52
1956	11,576.31
1957	99,238.26-(1)
1958	128,611.17
1959	285,542.24-(2)
1960*	232,061.62-(3)

* Eleven months

(1) Includes $67,729.92 in marketable investments at cost.
(2) Includes $195,193 in U.S. Treasury Bills at cost.
(3) Includes $107,323.60 in Savings Accounts.

B The [redacted] has been quite diligent in securing that the rather substantial cash balances available have been utilized in a manner to earn additional income (treasury interest, etc.). It would seem more in keeping with the [redacted] Charter, however, if a greater part of the funds were programmed against activities, rather than being used for investment or interest earning purposes. This is especially so in the light of the [redacted] success in being able to raise sufficient funds from contributors. B

A breakdown of the income and expenses accruing to the [redacted] during the period studied is presented in Attachment B and is depicted graphically in Chart No. 1. The results show that the monthly average income to the [redacted] amounted to $ 35,[illegible]12.40 and that there was an unexpended excess of income over expenses at November 30, 1960 equal to 9.3 months income ($ 237,639). E

Chart No. 1 shows that the annual amounts expended for Administrative Costs and Grants generally have been increasing. However, the rate of increase in Administrative Costs and Grants has definitely been at a lower rate than the rate of increase in Total Income.

COPY

60-21

The fact that the [redacted] has been earning income by rendering management services to other related organizations has been helpful in producing additional revenues. There may be certain other benefits resulting from these arrangements. However, care should be taken that the fees for and the nature of these services do not grow to such a degree as to be inconsistent with the fundamental scientific purposes of the [redacted] as described in its Charter.

FINANCIAL CONDITION

Attachment C is a Balance Sheet at November 30, 1960 prepared by the undersigned based on the preliminary trial balance rendered by the [redacted] bookkeeper.

The data reflects that the [redacted] financial condition is more than sound. Total Assets (97% Cash) amount to $239,539 and Total Liabilities (Payroll Taxes) amount to $1,900. The [redacted] had a Net Worth of $237,639 at November 30, 1960.

For healthy commercial organizations the usual ratio of Cash to Liabilities would be about 1 to 4. This ratio for the [redacted] at November 30, 1960 was 122.2 to 1.

Below is depicted the relationship of Cash to Total Liabilities (including restricted contributions) at the end of each fiscal year during the period analyzed.

Year	Cash	Liabilities	Ratio Cash/Liabilities
1955	$ 10,277.52	$ 2,199.72	10.0 to 1
1956	14,573.31	1,112.30	13.3 to 1
1957	90,324.25	16,930.10	5.3 to 1
1958	109,911.17	6,759.26	16.0 to 1
1959	215,492.24	5,112.93	55.9 to 1
1960	232,061.42	1,900.00	122.2 to 1

CONCLUSIONS

1. The financial reports show that the [redacted] has been most frugal in the handling of the monies it has received.

2. In view of the [redacted] proven ability to raise funds through contributions and by rendering management services to related organizations, the fiscal policies pursued have been overly conservative.

3. The [redacted] can readily expand its activities safely within the limits of present income levels.

4. The data leads to the conclusion that there has been no past need, nor does there appear to be any present need for the accumulation of the large cash balances indicated.

COPY

60-21

5. It is recommended that a policy be adopted for programming more of the [redacted] funds for the purposes announced in its Charter. Steps should be taken to systematically reduce the large cash balances remaining mostly idle in bank accounts.

Respectfully submitted,

[redacted]

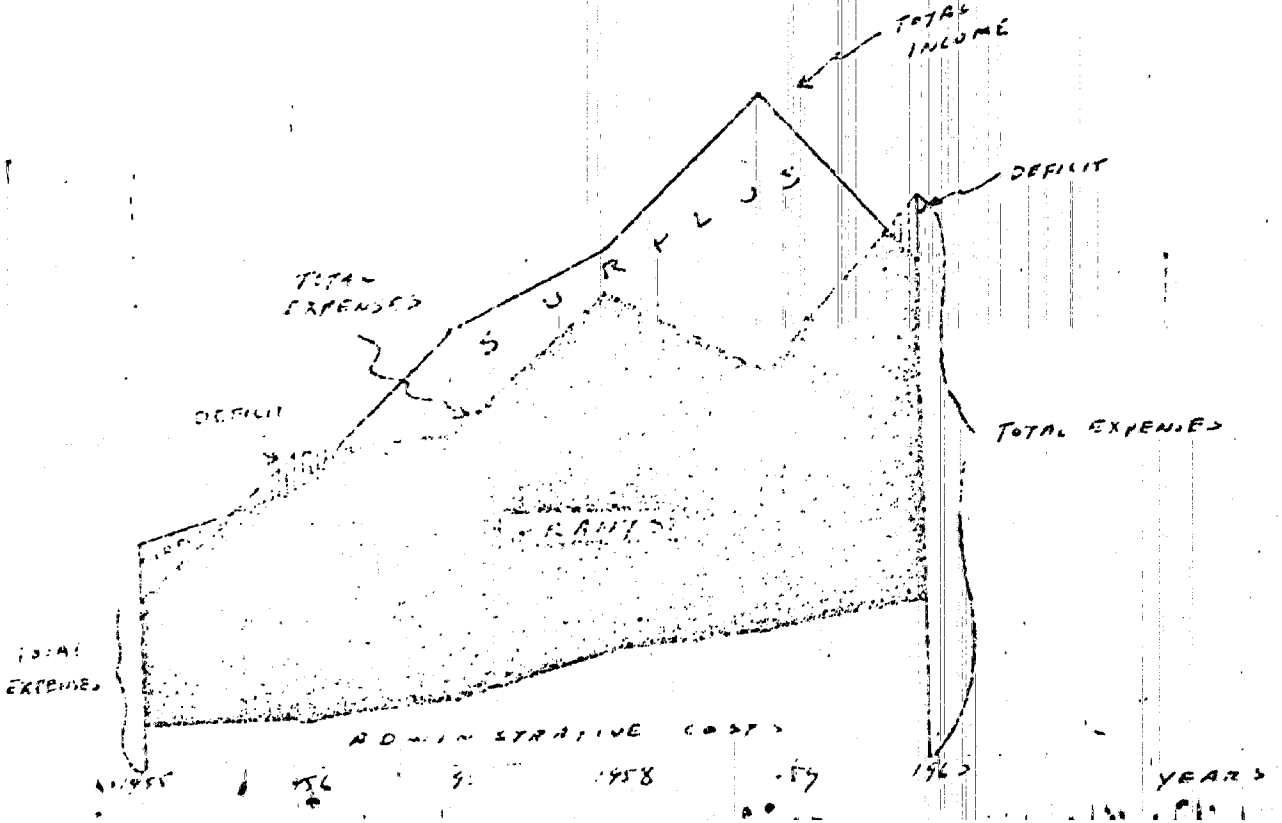
COPY

CHART NO 1

B

INCOME & EXPENSES

MAY 1, 1955 TO NOVEMBER 30, 1960



60-21

60-21

Attachment A

[redacted] B

Statement of Income, Expenses, and Unexpended Income
May 25, 1955 to November 30, 1960

INCOME		
Contributions	$1,661,131.62	
Management Fees for Restricted Contributions	14,201.75	
Interest Income	9,800.59	
Discounts Earned	10.42	
Total Income		$1,685,144.38
EXPENSES		
Salaries	$ 159,947.10	
Rent & Utilities	6,301.50	
Communications	6,559.53	
Consultant's Fees	38,148.39	
Travel	38,142.68	
Promotion	5,217.02	
Insurance & Retirement	3,261.03	
Payroll Taxes	4,663.65	
Other Taxes	28.24	
Reference Library	1,673.27	
Legal & Auditing Fees	2,135.00	
Depreciation	2,000.37	
Office Supplies & Postage	5,059.60	
Dues & Subscriptions	920.14	
Bank Charges	14.77	
Conference Expenses	6,999.33	
Printing & Editorial Costs	66,074.32	
Miscellaneous	4,604.10	
Renovation & Maintenance	796.00	
Furniture & Equipment	2,139.74	
Total Expenses		$ 355,045.38
GRANTS		1,092,460.00
Total Expenses & Grants		$1,447,505.38
EXCESS OF INCOME OVER EXPENSES & GRANTS		$ 237,639.00

COPY

60-21

Attachment C-

60-21

[redacted] B

Balance Sheet
November 30, 1960

ASSETS

Cash in Checking Accounts	$ 14,537.94	
Cash in Savings Accounts	197,323.48	$231,861.42
Petty Cash		200.00
Advances		60.00
Deposits		675.00
Furniture & Fixture (Depreciated)		6,782.50
TOTAL ASSETS		$239,539.00

LIABILITIES & NET WORTH

Payroll Taxes		$ 1,900.00
Excess of Income over Expenses:		
5/25/55 - 12/31/59	$285,501.19	
1/1/60 - 11/30/60	(48,062.19)	
Net Worth		237,639.00
TOTAL LIABILITIES & NET WORTH		$239,539.00

COPY

D Q 60-22

RECEIPT

Receipt is hereby acknowledged of the following check:

Cashier's Check No. A 93765, dated August 26, 1960, in the amount of $95,331.05, drawn on [redacted] payable to the [redacted]

E

B

[redacted]

C

Date: Sept 6, 60

60-23

15 August 1960

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSD/Budget Officer

SUBJECT : MKULTRA, Subproject 60, Invoice No. 6
Allotment 1525-1009-1902

1. Invoice No. 6 is attached covering the above subproject. Payment should be made as follows:

Cashier's Check in the amount of $95,331.05, drawn on a local bank, payable to the [redacted] B

2. Please forward the check to Chief, TSD/Research Branch through TSD/Budget Officer by Monday, 29 August 1960.

3. This is a final invoice. However, since it is anticipated that additional funds will be obligated for this project, the files should not be closed.

[redacted] A
Chief
TSD/Research Branch

Attachements:
Invoice & Certifications

Distribution:
Orig & 2 - Addressee

I CERTIFY THAT FUNDS ARE AVAILABLE
OBLIGATION REFERENCE NO. 239
CHARGE TO ALLOTMENT NO. 1525-1009-1902
AUTHORIZING OFFICER

PAID
AUG 26 1960
[redacted] B

60-23

MEMORANDUM RECEIPT

30 Aug 60
DATE

TO:

FROM:

SUBJECT:

I hereby acknowledge receipt of the following:

B

[redacted]

95-331.05

#193765

Please return _____ signed copy(ies) of this receipt [redacted]

To _____

DATE RECEIVED

FORM NO. 752 REPLACES FORM 36-66
1 AUG 55 WHICH MAY BE USED.

GPO 941740 (33)

(When Filled In)

CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27	28-33 T/A NO. / P.O. NO. / 32-33 DIV.	34-39 STATION CODE / PROP. NO. / PROJECT NO.	40-42 EXPEND CODE / FY	43 FUNDS	45-46 PAY PER. LIQ. CODE	47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO.	53 CA YR	54-57 GENERAL LEDGER ACCT. NO.	58-67 ALLOT. OR COST ACCT. NO.	62-67 CK. NO. / X REF. NO.	68-70 DUE DATE / OBJECT CLASS	71-80 AMOUNT DEBIT	71-80 AMOUNT CREDIT
[redacted]		B				72-1106				203			
										TOTALS			

EXPLANATION OF ENTRY

[redacted] B

DATE [redacted] DATE A | REVIEWED BY | CERTIFIED FOR PAYMENT OR CREDIT: DATE | SIGNATURE OF CERTIFYING OFFICER

FORM 10-59 606 USE PREVIOUS EDITIONS. (10-49)

[redacted] INVOICE 60-23

For Services $95,331.05

[redacted] B-

CERTIFICATIONS

(1) It is hereby certified that this is Invoice No. 6 applying to Subproject No. 60 of MKULTRA, that performance is satisfactory, that services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSD/RB, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSD/Research Branch

Date:

(2) It is hereby certified that this invoice applies to Subproject No. 60 of MKULTRA which was duly approved, and that the project is being carried out in accordance with the memorandum of 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date:

[redacted]

60-23

No. 239

Cost Account 1535·1009·1802

Object Class

Date	Remarks and References	Obligations Incurred	Obligations Liquidated	Unliquidated Balance
8 AUG 1960	Mbuelia Sub 60 Auth #5	85,331.05		85,331.05
16 AUG 1960	Divine #6		85,331.05	—
	[redacted] A			

60-24

11 July 1960

MEMORANDUM FOR: COMPTROLLER

ATTENTION : Finance Division

SUBJECT : MKULTRA, Subproject 60, Additional Authorization No. 5

Under the authority granted in the Memorandum dated 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda, Subproject 60 has been approved, and $95,331.05 of the over-all Project MKULTRA funds have been obligated to cover this subproject's expenses and should be charged to Allotment 1525-1000-1902.

[redacted]
Chief
TSD/Research Branch

APPROVED FOR OBLIGATION OF FUNDS:

[redacted]
Research Director

Date: 5 AUG 1960

8 AUG 1960

I CERTIFY THAT FUNDS ARE AVAILABLE
OBLIGATION REFERENCE No: 2 Sep
CHARGE TO ALLOTMENT No.
AUTHORIZING OFFICER

Distribution:
Orig & 2 - Addressee
1 - TSD/FASS

60-25

TO: TSS/OC

1. Date of Obligation: N/A

2. Purpose of Project: Cover and Funding Organization for TSD/RB

3. Progress to Date: Satisfactory

4. Expiration Date: N/A

5. Project Monitor: [redacted] A

FROM: TSS/CD

[redacted] G

[redacted]

[redacted] 60-26

DRAFT/[redacted] A
8 July 1960

MEMORANDUM FOR: THE RECORD

SUBJECT : Continuation of MKULTRA, Subproject 60

1. The purpose of Subproject 60 is to provide funds to the [redacted] B
B [redacted] for the continuation of activities in behalf of TSD/RB.

2. The second Annual Report of the [redacted] B has been published and a copy is attached. It follows the same basic pattern as the first in that it is necessarily a sterile document and as such does not indicate those details which are of a classified nature. The [redacted] B is now an integral part of the [redacted] B and is included in the over-all [redacted] B budget. An activities report for this department is attached. The sponsorship of the [redacted] B of some of the outstanding psychologists and psychiatrists in the United States is an example of the operational value of the [redacted] B This "brainstorming" led to the final assessment of [redacted] F
F [redacted], which was a requirement from [redacted] C. In keeping with the plan of developing the [redacted] B as a [redacted] F organization projects are being sponsored [redacted] F
F [redacted] At the present time many proposals from [redacted] F researchers are being reviewed. This is a direct result of the trip made last fall by the
B [redacted] and the [redacted] B to psychological research facilities in [redacted] F
F [redacted]

3. In the coming year the [redacted] B will continue to operate as a funding and cover organization for TSD/RB activities.

[redacted]

[redacted] 60-26

4. It is estimated that the total cost of this Subproject for a period of one year will be $95,331.05. A more detailed breakdown of the budget is attached. Charges should be made against Allotment 1525-1009-1902.

5. Equipment purchased by the [redacted] shall remain the property of the Government and will be returned in the event the [redacted] is dissolved.

6. For security considerations, and in order to authenticate the cover of this organization, the accounting and audit practices used by the [redacted] shall conform to [redacted] as applicable to the [redacted] Sufficient accounting for the funds advanced under this project therefore shall be the submission for retention by the sponsor of a copy of the annual [redacted] statement as prepared for the [redacted] Funds included in such an audit report shall be considered to have been adequately accounted for by the Sponsor.

7. The permanent members of the [redacted] are all cleared and witting. They will also be available to duly designated Agency officials for all necessary purposes. However, to maintain the security of the operation, Agency employees except duly designated TSD/RB personneld will not make contact with [redacted] personnel in [redacted] Exceptions to this shall be determined by C/TSD/RB.

[redacted]

Chief
TSD/Research Branch

APPROVED FOR OBLIGATION
OF FUNDS:

[redacted]

Research Director

Date: 8/5/60

Attached: Budget & Editorial Rpt [redacted]

60-27

SUMMARY

B [redacted] BUDGET

Fiscal Year 1960-61

[redacted] B	$62,010.00
Consultants	15,000.00
Conference	1,000.00
Editorial Department	17,321.05
Total B [redacted] Budget	$95,331.05

60-27

B [redacted] BUDGET
FISCAL YEAR
1960-61

Salaries: Executive Secretary, Secretary, Assistant, Psychologist and Maintenance Man	42,020.00
Rent and Electricity	1,740.00
Telephone	1,200.00
Dues and Subscriptions	250.00
Reference Library	300.00
Audit	250.00
Printing	2,000.00
Office Supplies and Maintenance	1,600.00
Equipment	300.00
Promotion and Entertainment	1,500.00
Travel	6,000.00
Insurance	650.00
Payroll Taxes	1,000.00
Miscellaneous	200.00
Retirement Program	3,000.00
	$ 62,010.00

Anticipated earnings $3,000.00

60-27

CONSULTANTS AND CONFERENCE BUDGETS

Fiscal Year 1960-61

Consultants:		$15,000.00
Conferences:	(No special large conference foreseeable)	1,000.00
		$16,000.00

60-27

B

[redacted] PROJECT

BUDGET for year

May 1, 1960 to May 1, 1961

Salaries	$17,040.00
Payroll taxes	468.00
Communications	240.00
Office Supplies	240.00
Travel	2,000.00
Promotion	1,000.00
Retirement	1,363.20
Insurance	100.00
Reference Library	100.00
Rent	1,380.00
Contingency Fund	200.00
Total Budget	$24,131.20
Less funds remaining from 59/60	6,810.15
Total Funds Requested	$ 17,321.05

60-28

[redacted] ACTIVITIES REPORT, May 1959-April 1960

The function of the [redacted] is to provide technical writing and editorial services in support of the [redacted] program of research. Its objectives are to supply the sponsor with useful information in essentially non-technical language and to promote the [redacted] within the scientific community and elsewhere as the interests of the sponsor require. During the past year, the [redacted] was principally concerned with tasks that are conventionally the functions of an editorial-technical writing staff: research, writing, re-writing, job printing contracting, and the like. Certain programs with special objectives required participation in tasks that were only tangentially editorial: viz., experiments with lysergic acid and other chemical agents; data collection for a study of handwriting analysis.

An outline of [redacted] activities over the past year are presented below.

I. Publications of Continuing Interest to the [redacted]

A. [redacted] This pamphlet, intended for general promotional purposes, is an account of the organization and purposes of the [redacted] research in progress, financial statement, and bibliography of literature on [redacted] generated by [redacted] support since 1955.

B. [redacted] Assisted in editing the [redacted] abstracted and summarized articles and other material, and wrote continuity material for three issues: [redacted] and [redacted] (the last as yet unpublished). Contracted for translations of articles on [redacted] psychiatry and provided summaries for [redacted] publication. Consulted with [redacted] regarding the projected special issue on schizophrenia.

II. Special Writing Tasks.

A. Prepared short report, [redacted] for journal publication; available to sponsor and agencies with similar interests. Based on a longer work by [redacted]

B. Re-wrote [redacted] account of [redacted] for publication as a pamphlet by the [redacted] Material to be incorporated in the final report from the [redacted] follow-up study by [redacted]

III. Special Editing Tasks. C C

A. Worked up material from the tapes of [redacted] interview with [redacted] Subsequently condensed to parts of the interview for use in [redacted] B B

B. Prepared advance material for [redacted] B Assisted editorially with assessment statement before and after [redacted] B

IV. Special Assignment [redacted] B

A. Participated in observations during two periods, June-July (three weeks); August-September (one week).

V. Graphology.

A. Administered the collection of Wechsler-Bellevue profiles and handwriting B specimens for [redacted] Approximately 300 W-B profiles and 200 handwriting samples obtained from various populations: alcoholics, actresses, actors (including some homosexuals), patients in psychotherapy, criminal psychopaths, and fashion models.

B. Maintained contact with more than 25 graphologists, some by correspondence but the majority by personal visits.

C. Began Phase 1 of graphology experiments with 15 handwriting analysts participating. Handwriting analysts are being asked to score 50 selected specimens according to dimensions of handwriting general held to be significant in the measurement of personality by graphologists.

1. Objectives of Phase 1:

a. to meosure the consistency of performance in a task basic to handwriting analysis,

b. to determine possible congruences between certain handwriting features and career preferences or extreme behavior patterns of the subjects,

c. to determine whether there is any correlation between certain handwriting features and the subjects' W-B profiles as interpreted by [redacted] C

2. Secondary objectives of Phase 1:

a. to establish a non-threatening working relationship with a number of graphologists by assigning a task generally regarded as routine and on which most graphologists confidently anticipate high correlation of performance,

b. to demonstrate that [redacted] representatives administering the study have an understanding of, and appreciation for, the fundamentals of handwriting analysis.

D. Advised on and assisted in negotiating a [redacted] grant to [redacted] to support a graphology journal, [redacted]

VI. Study of Narco-Analysis (i.e. "Truth" drugs).

A. Preliminary research undertaken: basic readings, acquisition of texts, preliminary bibliography.

VII. Miscellaneous endeavors.

A. Various minor editing and printing chores: devising and printing handwriting score sheet; W-B profile work sheet, [redacted] brochure; an unsuccessful attempt to rewrite an article on Drug Withdrawal by [redacted] a statement of purpose for the projected conference on the [redacted] etc.

60-28

B [redacted] Activities Projected for 1960-61 - 4 -

B

The schedule of [redacted] projects for the coming year provides for continued work on a number of assignments in progress, editorial assistance to the staff of the [redacted] revision of the Annual Report, and editorial processing of reports from several [redacted] sponsored studies nearing completion. To increase the effectiveness of the [redacted] as a channel for research information and to determine how best to adapt the information to the requirements of the sponsor, the [redacted] editorial director-technical writer plans to observe sponsor training methods at first hand during the coming year.

The list below is not in order of priority, since the nature of the work often requires that several assignments be pursued concurrently. Still other editorial tasks can be undertaken only as grantees complete their studies and as the need for editing or re-writing becomes apparent.

Editorial Projects

1. Completion of a descriptive report on "Truth" drugs.
2. Publication of the [redacted] Report, [redacted]
3. Publication of an annotated bibliography on Coercive Behavior.
4. Publication of a revised "Annual Report."
5. Continued editorial assistance to the staff of [redacted]
6. Editorial review and re-write, as necessary, of terminal reports from research under [redacted] grants:
   a. [redacted]
   b. [redacted]
   c. [redacted]
   d. [redacted]
   e. [redacted]
7. Completion of Phases 1 and 2 of [redacted]

60-29

B

Examination for the Year ended December 31, 1959

60,-29

B

Examination for the Year ended December 31, 1959

60-29

B [redacted]

January 22, 1960

B To [redacted]

We have examined the balance sheet of the B [redacted] as at December 31, 1959 and the related statement of income, expenses and unexpended income for the year then ended. Our examination was made in accordance with generally accepted auditing standards, and accordingly included such tests of the accounting records and such other auditing procedures as we considered necessary in the circumstances.

In our opinion, the accompanying balance sheet and statement of income, expenses and unexpended income present fairly the financial position of the B [redacted] B [redacted] at December 31, 1959, and the results of its operations for the year then ended, in conformity with generally accepted accounting principles applied on a basis consistent with that of the preceding year.

B [redacted]

60-29

B [redacted]

January 22, 1960

B To [redacted]

We have examined the balance sheet of the B [redacted] as at December 31, 1959 and the related statement of income, expenses and unexpended income for the year then ended. Our examination was made in accordance with generally accepted auditing standards, and accordingly included such tests of the accounting records and such other auditing procedures as we considered necessary in the circumstances.

In our opinion, the accompanying balance sheet and statement of income, expenses and unexpended income present fairly the financial position of the B [redacted] at December 31, 1959, and the results of its operations for the year then ended, in conformity with generally accepted accounting principles applied on a basis consistent with that of the preceding year.

B [redacted]

60-29

Exhibit A

B

BALANCE SHEET

As at December 31, 1959

Assets

Cash		
In banks	$ 90,199.24	
On hand	200.00	90,399.24
United States of America Treasury bills, at cost		195,093.00
Total current assets		285,492.24
Deferred payments under grants		118,432.01
Deposits		675.00
Furniture and fixtures	7,527.25	
Less Reserve for depreciation	2,080.37	5,446.88
		$ 410,046.13

Liabilities

Accounts payable		$ 114.50
Taxes payable		
Withheld from employees	1,476.75	
Social security and unemployment	389.35	1,866.10
Total current liabilities		1,980.60
Provision for future payments under grants		118,432.01
Restricted contributions		3,132.33
Unexpended income, Exhibit B		286,501.19
		$ 410,046.13

60-29

Exhibit B

[redacted] B

INCOME, EXPENSES AND UNEXPENDED INCOME

For the Year ended December 31, 1959

Income			
Contributions		$ 424,485.62	
Management fee for restricted contributions		1,120.47	
Interest income		2,813.09	
Discounts earned		4.40	428,423.58
Expenses			
Salaries	32,002.27		
Rent and utilities	1,675.79		
Communications	1,866.24		
Consultants' fees	7,067.20		
Travel	8,274.03		
Promotion	1,458.35		
Insurance	553.98		
Payroll taxes	904.01		
Other taxes	17.63		
Reference library	334.23		
Legal and audit fees	250.00		
Depreciation	841.24		
Office supplies and postage	1,132.39		
Dues and subscriptions	190.30		
Bank charges	3.62		
Conference expense	946.17		
Editorial expenses	20,501.28		
Annual report printing cost	1,100.60		
Miscellaneous	264.30	79,383.63	
Grants			
[redacted]	15,237.50		
[redacted]	5,679.62		
[redacted]	53,459.00		
[redacted]	2,500.00		
[redacted]	15,000.00		
[redacted]	20,736.25		
[redacted]	2,449.10		
[redacted]	14,047.33		
[redacted]	2,000.00		
[redacted]	360.00		
[redacted]	3,070.50		
[redacted]	3,000.00		
[redacted]	464.60		
[redacted]	1,503.75		
[redacted]	1,250.00		
Forward	$ 140,757.65	79,383.63	428,423.58

60-29

Exhibit B

[redacted] B

INCOME, EXPENSES AND UNEXPENDED INCOME

For the Year ended December 31, 1959

Income			
Contributions		$ 424,485.62	
Management fee for restricted contributions		1,120.47	
Interest income		2,813.09	
Discounts earned		4.40	428,423.58
Expenses			
Salaries	32,002.27		
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Travel	8,274.03		
Promotion	1,458.35		
Insurance	553.98		
Payroll taxes	904.01		
Other taxes	17.63		
Reference library	334.23		
Legal and audit fees	250.00		
Depreciation	841.24		
Office supplies and postage	1,132.39		
Dues and subscriptions	190.30		
Bank charges	3.62		
Conference expense	946.17		
Editorial expenses	20,501.28		
Annual report printing cost	1,100.60		
Miscellaneous	264.30	79,383.63	
Grants			
B [redacted]	15,237.50		
C	5,679.62		
B	53,459.00		
C	2,500.00		
B	15,000.00		
F	20,736.25		
C	2,449.10		
C	14,047.33		
B	2,000.00		
C	360.00		
B	3,070.50		
C	3,000.00		
C	464.60		
C	1,503.75		
C	1,250.00		
Forward	$ 140,757.65	79,383.63	428,423.58

Brought forward	$ 140,757.65	79,383.63	428,423.58
Grants (continued)			
C	1,500.00		
B	900.00		
A	10,780.00		
B	8,750.00		
C	7,125.00		
C	1,666.64	171,479.29	250,862.92
Excess of income over expenditures			177,560.66
Unexpended income, December 31, 1958			108,940.53
Unexpended income, December 31, 1959, Exhibit A			$ 286,501.19

60-30

March 21, 1960

[redacted]

Attention: [redacted]

Dear [redacted]

This letter will authorize you to purchase $50,000.00 worth of the 180 day U. S. Treasury Bills and to place in our savings account [redacted] the balance of the funds obtained on the cashing of our present U. S. Treasury Bill of $100,000.00 payable on [redacted] 1960.

Sincerely,

[redacted]

Treasurer

[redacted]

Assistant Treasurer

60-31

60 F

January 8, 1960

[redacted]

Dear [redacted]

Enclosed please find the [redacted] check for $100.00 representing a deposit for the use of the 6 single, 2 doubles and 1 conference room at the Hotel for the three days, January 17, 18 and 19th. The following are the names of the people who will be in attendance at the conference:

[redacted]

There is a possibility that there may be one or two more participants but as yet this has not been confirmed.

Sincerely,

[redacted]
Executive Secretary

Enc.

60-32

January 8, 1960

[redacted] C

Dear [redacted] C

Enclosed is our check for $300.00 which is an advance on your consultation and expenses for the January 18-19th meetings of the psychiatry and psychology panels of the [redacted] B You will remember that in our telephone conversation you agreed to obtain your own ticket and make your own reservations. I am planning to provide more detailed information for you before your departure. We have reserved a conference room and rooms for each of the participants at the [redacted] B

B [redacted]

C [redacted] and I will be arriving early on Sunday and will be on hand to meet you when you arrive. The Hotel is only 3 miles from the airport so we concluded that it would be more convenient for each to come to the Hotel directly by taxi.

Best regards. We are looking forward to seeing you in [redacted] B

Sincerely,

[redacted] C
Executive Secretary

Enc.

60-33

60F

January 5, 1960

[redacted] E

Gentlemen:

This letter will authorize you to transfer from our Savings Account [redacted] the sum of $40,000.00 and deposit it to our Checking Account. B

Sincerely,

[redacted] C
Treasurer

[redacted] C
Assistant Treasurer

60-35

6 of

November 9, 1959

[redacted] E

Attention: Savings Department

Gentlemen:

This will authorize you to withdraw the sum of $25,000 from
B the [redacted] Savings Account [redacted] and deposit it to
B the [redacted] Checking account.

Sincerely,

[redacted] C
Executive Secretary and Treasurer

[redacted] C
Asst. Secretary and Asst. Treasurer

Enc.

60-36

60F

September 29, 1959

[redacted] C

Dear [redacted] C

Attached is our check for the $400.00 you requested. I am pleased that you are getting underway with the work. Naturally I shall be discreet pertaining to [redacted] C very fine collaboration.

I will do my best to assist on your requests for [redacted] F and will be in touch as soon as I return.

Sincerely yours,

[redacted] C
Executive Secretary

Enclosure

Consultant

60-57

September 21, 1959

[redacted] C

Dear [redacted] C

Attached is our check for $63.70 in payment for one day's consultation plus expenses. I don't believe that I have mentioned this before, but the [redacted] B rate for senior consultants is set at $60.00 a day if that is satisfactory to you.

It has not been the custom of the [redacted] B to attempt to reimburse the Directors for their efforts as Directors. Try as we might, we could never place a value on the expert judgment, the time and energy expended, and the thoughtful planning that the Directors have done in our behalf. But we can and do compensate for other consultation at the above rate.

Since my return from the convention circuit on September 10 I have already made one 3-day visit to [redacted] and am now so far behind in my work that it looks as though I will not catch up until my departure for [redacted] on the fourth of October. I feel it imperative, however, to see you before that time and hope that you will be free one day next week for me to visit. B F

Sincerely yours,

[redacted] C

Executive Secretary

Enclosure

60-38

September 18, 1959

[redacted]

Attention: [redacted]

Dear [redacted]

This letter will authorize you to withdraw $100,000.00 from our Savings Account [redacted] and deposit it in our checking account, the pass book is attached.

This letter further authorizes you to purchase in the name of the [redacted] the following:

1. $100,000.00 worth of 182 day U. S. Treasury Bills.
2. $100,000.00 worth of 91 day U. S. Treasury Bills.

Please charge our account in this amount.

Sincerely,

[redacted]
Treasurer

[redacted]
Assistant Treasurer

60-39

25 August 1959

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSS/Budget Officer

SUBJECT : HOLLYA, Subproject CO, Invoice No. 5
Allotment 0525-1003-4902

1. Invoice No. 5 is attached covering the above subproject. Payment should be made as follows:

Cashier's Check in the amount of $59,240.00, drawn on a local bank, payable to the [redacted] B

2. Please forward the check to Chief, TSS/Chemical Division through TSS/Budget Officer by Friday, 4 September 1959.

3. This is a final invoice. However, since it is anticipated that additional funds will be obligated for this project, the files should not be closed.

[redacted] A
Chief
TSS/Chemical Division

Attachments:
Invoice & Certifications

Distribution:
Orig & 2 - Addressee
1 - TSS/FASB

PAID
SEP 10 1959

[redacted] E 24112

[redacted] E 24129

[redacted] A

60-37

RECEIPT

Receipt is hereby acknowledged of the following check:

Treasurer's Check No. 241129, dated September 10, 1959, in the amount of $59,240.00, drawn on the [redacted] payable to the [redacted]

[redacted]

Date: Sept 14, 1959

60-39

No. 73

Cost Account 0525-1009-4402

Object Class

Date	Remarks and References	Obligations Incurred	Obligations Liquidated	Unliquidated Balance
13 JUL 1959	Auth #4 Sub 60	59,240.00		59,240.00
3 SEP 1959	Revoca #5		59,240.0	—

60-39

(When Filled In)

CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27	28-33 T/A NO. / P.O. NO. / 32-33 DIV.	34-39 STATION CODE / PROF. NO. / PROJECT NO.	40-42 EXPEND CODE / FFY	43 FUNDS	45-46 PAY PER. LIQ. CODE	47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO.	53 CA YR	54-57 GENERAL LEDGER ACCT. NO.	58-67 ALLOT. OR COST ACCT. NO.	62-67 CK. NO. / X REF. NO.	68-70 DUE DATE / OBJECT CLASS	71-80 AMOUNT DEBIT	71-80 AMOUNT CREDIT
[illegible]			[illegible]						[illegible]	[illegible]	[illegible]	[illegible]	
[illegible]			[illegible]			[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	
[illegible]			[illegible]			[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	
[illegible]													[illegible]
													[illegible]
[illegible]													[illegible]

EXPLANATION OF ENTRY — TOTALS

[illegible] Three [illegible] for [illegible]

[illegible]

DATE	PREPARED BY	DATE	REVIEWED BY	CERTIFIED FOR PAYMENT OR CREDIT: DATE	SIGNATURE OF CERTIFYING [illegible]
				7/1/52	

FORM 6-59 606 USE PREVIOUS EDITIONS. (10-45)

60-39

INVOICE [redacted]

For services $59,240.00

[redacted] B

Certificates

(1) It is hereby certified that this is Invoice No. 5 applying to Subproject No. 60 of MAURRA, that performance is satisfactory, that services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSS/CD, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSS/Chemical Division

Date:

(2) It is hereby certified that this invoice applies to Subproject No. 60 of MAURRA which was duly approved, and that the project is being carried out in accordance with the memorandum of 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date:

[redacted]

60-40

RECEIPT

Receipt is hereby acknowledged of the following check:

Treasurer's Check No. 167567, dated July 6, 1959, in the amount of $27,755.00, drawn on the [redacted] payable to the [redacted]

[redacted]

Date: July 27, 1959

60-41

[redacted]

25 June 1959

9 Jun 59

MEMORANDUM FOR: COMPTROLLER

ATTENTION : Finance Division

SUBJECT : MKULTRA, Subproject 60, Additional Authorization No. 4

Under the authority granted in the memorandum dated 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda, Subproject 60 has been approved and $59,240.00 of the over-all MKULTRA project funds has been obligated to cover the subproject's expenses. This obligation of funds should be charged to Allotment 0-2502-75-902-0525-1209-4902.

[redacted]
Chief
TSS/Chemical Division

APPROVED FOR OBLIGATION OF FUNDS:

[redacted]
Research Director

Date: [redacted]

Distribution:
Orig & 1 - Addressee
1 - TSS/OC
1 - TSS/FASB
2 - TSS/CD

TSS/CD/[redacted] (29 June 1959)

[redacted]

60-42

August 4, 1959

[redacted] B

Gentlemen:

It is our understanding that our Executive Secretary, [redacted] C met with one of your [redacted] B in our [redacted] B At that time, he pointed out that the [redacted] B who share the same office are on our consultants' staff and that we have a written agreement with them for the use of their office as our [redacted] B so have some equipment there such as a dictaphone and from time to time, we may have other property.

In June, we still had ownership to some of the furniture in that office. However, during the month of July, the [redacted] B purchased this furniture from us.

We would, however, like to claim [redacted] B for any property that we have there now as well as any property that we might acquire at a later date in the event that we opened another Branch Office.

We are presently tax exempt from the Federal Government and from the [redacted] B Enclosed are the copies of the letters covering our exemption. We are formally registered with the [redacted] B I am enclosing a copy of [redacted] B our [redacted] B and our By-laws.

If there is any further documentary evidence that you need before granting [redacted] B please do not hesitate to ask and we will be glad to forward it to you.

Sincerely,

[redacted] C
Assistant Secretary

Enclosures 4

60-43

August 3, 1959

[redacted] C

Dear [redacted] C

Many thanks for your letter of July 30th containing your critique of the [redacted] is taking a much earned rest for a few days after a strenuous course at the [redacted] B C B

I told [redacted] of your letter and he was most appreciative of your efforts on our behalf. Enclosed please find the [redacted] B check in the amount of $240.00 representing 4 days consultant's pay.

Sincerely,

[redacted] C
Assistant Treasurer

Enc.

Consultant

60-44

July 30, 1959

[redacted] C

Dear [redacted] C B

Enclosed please find the [redacted] check in the amount of $332.64 which represents your compensation for the month of July. Since I was unable to reach you by telephone, I have taken the liberty of making the tax deductions on the basis of 1 exemption.

I have also enclosed the withholding forms for the Federal and State Governments which I would appreciate your filling out and returning to me. If there is a difference on the exemptions I will make the adjustment next month.

Welcome to the [redacted]

B

Sincerely,

[redacted] C

Assistant Treasurer

Enc. 3

60-45

DRAFT/[redacted] A
25-June-1959
9 July 1959

MEMORANDUM FOR: THE RECORD

SUBJECT : Project MKULTRA, Continuation of Subproject 60

1. The purpose of this subproject is to provide funds for the continuation of the activities of the [redacted] B in behalf of TSS/CD projects.

2. During the past year, the [redacted] B has made substantial and unique contributions to the program on [redacted] B In addition to carrying on the basic program of research begun in previous years, several new projects have been added, both in house and with new contractors. Several of these projects are physically F located outside the [redacted] thus carrying out the plan of developing the [redacted] B as a [redacted] organization. These particular projects are located in [redacted] F

3. During the next year it is anticipated that the [redacted] B will continue to operate as a funding and cover organization for TSS/CD, Branch III activities.

4. It is estimated that the total cost of this extension of Subproject 60 will be $59,240.00 for a period of one year, beginning 1 July 1959. A more detailed breakdown of the budget is appended herewith. Charges should be made against Allotment 9-2502-75-902. 0525-1009-4902

[redacted]

60-46

[redacted]

5. For security considerations, and in order to authenticate the cover of this organization, the accounting and audit practices used by the [redacted] shall conform to [redacted] as applicable to the [redacted] Sufficient accounting for the funds advanced under this project therefore shall be the submission for retention by the sponsor of a copy of the annual [redacted] statement as prepared for the [redacted] Funds included in such an audit report shall be considered to have been adequately accounted for by the Sponsor.

6. Equipment purchased by the [redacted] shall remain the property of the Government and will be returned in the event the [redacted] is dissolved.

7. The permanent members of the [redacted] are all cleared and witting. They will also be available to duly designated Agency officials for all necessary purposes. However, to maintain the security of the operation, Agency employees except duly designated TSS/CD personnel will not make contact with [redacted] personnel in [redacted] Exceptions to this shall be determined by C/TSS/CD.

[redacted]

Chief
TSS/Chemical Division

APPROVED FOR OBLIGATION OF FUNDS:

[redacted]

Research Director

Date: 7/13/59

Attachment: Budget
Distribution: Original Only

[redacted]

60-4/6

BUDGET SUMMARY REQUEST

FISCAL YEAR

1959 - 1960

B [redacted] Administrative Expenses 43,240.00

Consultant Fees 15,000.00

Conference 1,000.00

Total Budget $ 59,240.00

60-46

B [redacted] BUDGET
Fiscal Year
1959-60

Salaries Executive Secretary, Secretary, Assistant and Maintenance Man	27,100.00
Rent and Electricity	1,740.00
Telephone	1,200.00
Dues and Subscriptions	150.00
Reference Library	300.00
Audit and Legal	250.00
Printing (Annual Report)	2,000.00
Office Supplies	1,400.00
Equipment - Cabinet, bookcases	200.00
Promotion and Entertainment	1,500.00
Travel	5,500.00
Maintenance	200.00
Insurance	500.00
Payroll Taxes	1,000.00
Miscellaneous (contingency fund)	200.00
	$ 43,240.00

60-46

May 19, 1959

CONSULTANTS AND CONFERENCES

BUDGET

Fiscal Year 1959-1960

CONSULTANTS -

[redacted]		$5,000.00
[redacted]		$5,000.00
Panel consultants - 2 for each proposal based 2 a month $240		$2,880.00
Contingency fund for other consultants and more proposals		$2,120.00
Total Consultant Budget		$15,000.00

CONFERENCES -

We are not at the present time contemplating any large or special conferences that need special budgets.

However, in order to budget for small monthly meetings of sponsors representatives with the Directors and for Directors' meetings, we are budgetting $1,000.00

60-458

July 29, 1959

[redacted] C

Dear [redacted] C

Welcome to the [redacted] B we are very pleased to have you with us. It is our understanding from [redacted] that you will be put C on the payroll retroactively. The first date of your employment with us, therefore, is July 13th, at the rate of $30.00 a week.

The [redacted] B pays its employees monthly by check which is mailed to your home. If you have any question about this, please telephone me.

I have enclosed a Withholding Exemption Certificate both for [redacted] B and the Federal Government which I would appreciate your signing and returning to me in the enclosed envelope. I have also enclosed the [redacted] B latest report that might be of interest to you.

Sincerely,

[redacted] C

Assistant Treasurer

Enc. 4

60 - 50

July 7, 1959

[redacted] C

Dear [redacted] C

Enclosed is our check for $120.00 in payment for your consultation on the [redacted] B

I was well aware that I had a bear by the tail in the very beginning, but I was thrashing about looking for an easy way to either disengage or to do something effective with the critter. I appreciate very much your concrete suggestions and your interested assistance. I am not sure at this point what course of action I will follow, but I shall rely heavily on your advice.

Do you know of someone or some group that would have an interest in undertaking a study of the sort you have suggested? It is possible that I could enlist support for such a task if there were reasonable hope for a productive outcome.

Thank you again for your conscientious assistance.

Sincerely yours,

[redacted] C

Executive Secretary

Enclosure [redacted] B

(88)

60-51.

NO. 2699

8-2503-10-001

ALLOTMENT

Sub 60

DATE	REMARKS AND REFERENCES	OBLIGATIONS INCURRED	OBLIGATIONS LIQUIDATED	UNLIQUIDATED BALANCE
27 JUN 1958	Authorization #3	55,510.00		55,510.00
11 JUL 1958	Invoice #3		27755.00	27755.00
30 JUN 1959	" #1		27,265.00	

60-52

June 24, 1959

Memorandum for the File:

Subject: [redacted] (C)

Dr. [redacted] (C) informed me by telephone this afternoon that the [redacted] (B) need not make the second payment to [redacted] (C). He is being financed in another way. The first payment was all that was necessary.

[redacted] (C)

[redacted] (C)

absorbed by [redacted] (B)

60-53

March 18, 1959

(C)
Dr. [redacted]
(B) [redacted]

Dear Dr. [redacted] (C)

I believe by now you will have received word that your request for financial support of your studies has been approved. We shall transmit the grant of $2,500.00 in two payments. The first is to be paid on April 1, 1959 and the second payment before July 1, 1959.

The only condition that applies in the utilization of this grant is that any technical reports or papers which grow out of the study supported under this grant shall contain the following notice: "This study was supported in part by a grant from the [redacted]
(B)

The Board of Directors joins me in congratulating you upon receipt of this grant. We are pleased to be able to facilitate work of an important nature to be accomplished by young Americans of great potential.

Sincerely yours,

(C) [redacted]
Executive Secretary

(C) [redacted]

60-54

[redacted] (B)

February 5,1959

(C) Mr. [redacted]
Executive Secretary
(B) [redacted]

Dear sir :

In repply to youb letter dated February the 3d , I am sending you included a brief auto-biography and the description of my long-range plans ,after the ending of my training here in the USA .

I hope to fullfill your requirements .

Sincerely yours , [redacted] (C)

Dr. [redacted]

(C) [redacted]

60-37

Dr. [redacted] ,32 ys. old ,married ,3 children .

Born in [redacted] ;both parents alive, my father (59 ys old) is a civil engineering ,at present time [redacted]

Primary and High School in [redacted] ,with degree of B.A. in 1944 ;

Attended School of Medicine [redacted] in [redacted] from 1944 to 1950 ;

Internship in Internal Medicine [redacted] half of the time in the service of Neurology of Profesor [redacted] Hospital (30 beds) as a legal obligation,1951-1952 ,in [redacted]

1952 (spt.) Degree of M.D. in [redacted] Sc. of Medicine .

1952-1953 : Resident ([redacted] in Medical Services ,Hospitals [redacted] ;

1953-1954 : Director in Charge,Public Health Service, [redacted]

1954-1955 : Sub-Director ,Hospital [redacted]

1955 : Training in Geriatrics ,Cerebro-vascular accidents and its Rehabilitation, [redacted] Hospital ,[redacted]

1956-1957 : Private Practice [redacted]

1957-1958 : Instructor in the Dept. of Internal Medicine ,School of [redacted] During that time I had to deal mainly with neurologic patients.

1958 :june to november : Basic Course on Internal Medicine,at [redacted] Hospital [redacted] Division;under the direction of Dr. [redacted] This studies were made with a fellowship of the [redacted] Foundation ,that had provided pseviously for three months of training in [redacted] in Neuro-Physiology .

1958 : november : Neuro-Anatomy with Dr. [redacted] ,at [redacted] Hospital.

1958,december ,to present time ,training in Clinical Neurology under the direction of Dr. [redacted] ,Chief of the Service at [redacted]

Plans : further training in Clinical Neurology with Dr. [redacted] for another twelve months .Afterwards,return to [redacted] where I will dedicate to full time teaching in Clinical Neurology at the School of Medicine. [redacted]

signed : [redacted] M.D.

60-65

February 3, 1959

(A)
Dear [redacted]

(C) (C)
Attached is a proposal which I predict will be approved by the remainder of the Board. It was discussed at length with Dr. [redacted] We both feel that it is a cover grant that has long range potential in other directions since he will be the [redacted] in [redacted] when his work has been completed. Out of (C)
deference to the man's financial need, I hope we can let him know by March 1 whether he is receiving the grant. His [redacted] support terminated January 1 and his present earnings as a substitute interne at [redacted] are inadequate to maintain him and his family in the city. (B) (B)

(C)
I met Dr. [redacted] He is no ball of fire but is a solid, stable individual whom I would guess will become a good teacher in years to come.

(C)
[redacted]

60-56

[redacted] (B)

January 30, 1959

Mr. [redacted] (C)
Executive Secretary
[redacted] (B)

Dear Mr. [redacted] (C)

I am glad to write to you about Dr. [redacted] (C) He came to the United States from [redacted] (C) a year ago, having received a one year training fellowship from the [redacted] Foundation. He first went to [redacted] together with the [redacted] (B) for training in the English language. He came to [redacted] Hospital in April where he participated in the special fellowship program for basic training in the medical sciences.

It is Dr. [redacted] (C) goal to get as much training as possible in neurology. This is especially important because at the present time there is no neurologist in the city of [redacted] (C) where he will return on completion of training. He began training in neurology at [redacted] (B) on [redacted] serving as a substitute interne. He is an earnest, hard-working man and in the opinion of Dr. [redacted] (C) who is in direct charge of his training, he is exceedingly worthy of our teaching and training efforts.

Dr. [redacted] (C) is married and has three children here with him so that it is urgent that he receive an additional fellowship to enable him to continue his training.

I very much hope you will think well of his qualifications to be trained to practice and teach neurology in the Medical School at [redacted] (C) Included herewith is a copy of a letter sent by his chief to Dr. [redacted] (C) It indicates the high opinion of him held by his colleagues in [redacted] (C)

Sincerely yours,

[redacted] (C)
[redacted] M.D.
Professor of Neurology
[redacted] (B) Medical College

[redacted] (C)
Enc.

60-57

[redacted] B

February 3, 1959

MEMORANDUM TO: The Director

SUBJECT: Proposal for Fellowship for Dr. [redacted] C, Category "C"

Attached is a letter from Dr. [redacted] C which briefly describes the research interests and background of Dr. [redacted] C

I should like to add my endorsement to Dr. [redacted] C that your consideration be given to this fellowship in the amount of $2,500.00 to further his training in neurology during 1959. I have requested more biographical information from Dr. [redacted] but feel that his financial need justifies consideration before the additional material will be available.

[redacted] C
Executive Secretary

C [redacted]

Enc: 2

60-58

February 3, 1959

Dr. [redacted]

C [redacted]

Dear Dr. [redacted] C

B [redacted] Attached is a list of instructions for applying for a grant from the [redacted] I am providing it because it explains the procedures followed by our organization in administering a grant proposal. In your case, however, it is not necessary to provide more than a brief biography and a written statement of your long-range plans because Dr. [redacted] and I have communicated a proposal to the remainder of the Directors in your behalf.

C

I shall try to have information for you concerning the grant within a month's time, although, as the instructions indicate, sometimes procedures take a bit longer.

It was a pleasure meeting you.

Sincerely yours,

C [redacted]

Executive Secretary

C [redacted]

Enc: 1

60-67

23 June 1959

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSS/Budget Officer

SUBJECT : MULTIA, Subproject CO, Invoice No. 4
Allotment 8-2502-10-001

1. Invoice No. 4 is attached covering the above subproject. Payment should be made as follows:

Cashier's Check in the amount of $27,755.00, drawn on a local bank, payable to the [redacted] B

2. Please forward the check to Chief/TSS/Chemical Division through TSS/Budget Officer by Friday, 10 July 1959.

3. This is a final invoice. However, since it is anticipated that additional funds will be obligated for this project, the files should not be closed.

[redacted] A
Chief
TSS/Chemical Division

Attachments:
Invoice & Certifications

Distribution:
Orig & 2 - Addressee
1 - TSS/FASB

I CERTIFY THAT FUNDS ARE AVAILABLE
OBLIGATION REFERENCE No. 2688
CHARGE TO ALLOTMENT No. 8-2502-10-001
30 JUN 1959

[redacted] E

CHECK #167267 IN THE AMOUNT OF $27,755.00 RECEIVED [redacted] A

CHECK #167268 IN THE AMOUNT OF $253.17 RECEIVED [redacted] A

~~SECRET~~
(When Filled In)

CONFIDENTIAL FUNDS POSTING VOUCHER

VOUCHER NO. 7-12 | DATE 2-6 | VOUCHER NO. 7-12

DESCRIPTION-ALL OTHER ACCOUNTS 13-33 / DESCRIPTION-ADVANCE ACCOUNTS 13-27	28-33 T/A NO. / PUR. ORDER NO. / 32-33 DIV.	34-39 STATION CODE / PROP. NO. / PROJECT NO.	40-42 EXPEND CODE / FY	45-46 PAY PER. L.O. CODE	47-52 OBLIG. REF. NO. / ADVANCE ACCT. NO. / EMP. NO.	53 CA YR	54-37 GENERAL LEDGER ACCT. NO.	59-67 ALLOT. LEDGER ACCT. NO.	62-67 CK. NO. / X REF. NO.	68-70 DUE DATE / OBJECT CLASS	71-80 AMOUNT DEBIT	AMOUNT CREDIT
[illegible]			[illegible]		[illegible]		[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	
[illegible]												[illegible]

EXPLANATION OF ENTRY | TOTALS

See attached

$

DATE	PREPARED BY	DATE	REVIEWED BY	CERTIFIED FOR PAYMENT OR CREDIT: DATE	SIGNATURE OF CERTIFYING OFFICER
				[illegible]	[redacted]

FORM 2-58 606 USE PREVIOUS EDITIONS.

~~SECRET~~

(10-49)

A

60-59

INVOICE

For Services B $27,755.00 [redacted]

(1) It is hereby certified that this is Invoice No. 4 applying to Subproject No. 60 of MKULTRA, that performance is satisfactory, that services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSS/CD, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSS/Chemical Division

Date:

(2) It is hereby certified that this invoice applies to Subproject No. 60 of MKULTRA which was duly approved, and that the project is being carried out in accordance with the memorandum of 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date:

60-60

June 19, 1959

C [redacted]

C [redacted] B

Enclosed please find the [redacted] check in the amount of $64.81 for your expenses.

Mr. [redacted] C is presently out of town but will be in touch with you upon his return. I told him about your letter over the telephone and he wishes to express his appreciation for your efforts on our behalf.

Sincerely,

C [redacted]
Assistant Secretary

Enclosure

[redacted] 60-61

B [redacted]

B [redacted]

May 19, 1959

C [redacted]

C [redacted]

We have reviewed our payments up to date to our mutual friend. Since he came on our payroll, February 1958, he has received $2,975 as of April 14, 1959; we have received $1,600 from the Society. We have also expended $650 in transcribing and typing his masterpieces.

Sincerely,

C [redacted]

C [redacted]

60-62

April 22, 1959

C [redacted]

C [redacted]

Many thanks for your very kind contribution of the earrings from the sale of your book, [redacted] C

Your expenses on the project have been running according to plan so this should give you a little leeway for something special.

Best personal wishes.

Sincerely,

C [redacted]

Executive Secretary

C [redacted]

60-63

60 f

xxxx 1-8656

March 20, 1959

B [redacted]

Gentlemen:

Enclosed please find two claims for refund of overpayments on Social Security taxes, one for 1957 and the other 1958.

It has just been called to our attention that doctors do not come under social security legislation and we have been in the past deducting from their wages at the regular rate. We would appreciate a prompt action in this matter so we could refund the respective doctors.

Sincerely,

C [redacted]
Assistant Secretary and Treasurer

C [redacted]

Enc.

60 - 64.

XXXXX 1-8666

March 3, 1959

[redacted]

E

Please be authorized to transfer from the [redacted] savings account the sum of $19,559.30 and deposit it to the Society's regular checking account.

The passbook, [redacted], and the deposit slip are enclosed herewith.

Sincerely,

[redacted]
Executive Secretary

[redacted]
Assistant Secretary

[redacted]

Enc.

60-66

xxxxx
1-8666

February 9, 1959

B [redacted]

[redacted]

Thank you for your check for the continuation of work on the Puerto Rican Study.

C [redacted] informs us that the work is progressing very well and that they have been doing some worthwhile work in assisting in the correction of drug addiction.

Your continued encouraging support is very much appreciated.

Sincerely,

[redacted] C
Executive Secretary

C [redacted]

cc: [redacted] C

60-67

43

(6)

EDITORIAL EXPENSES
1958

Salaries	15,899.35
Rent	1,350.00
Special Fees	50.00
Travel	1,046.84
Taxes	164.90
Reference Library	9.67
Equipment	325.14
Typing	142.84
Misc.	12.36
Total Editorial Expenses	$ 19,026.20

CONSULTANT EXPENSES

PHS

	3,590.00*
	2,610.00
	3,000.00*
	100.00
	250.00
	300.00
	350.00
	50.00
	100.00*
	500.00**
	500.00**
	500.00**
	500.00**
	108.60*
	627.95***
	13,086.55
have examined and approved the submitted case. expense	1,012.18
expenditures.	
Total Consultant expenses	$ 14,098.73

[redacted] Chief
PHS/Chemical Division A

[redacted] examined and approved the submitted case.
additions.

* Separate grants see grant schedule

A [redacted] breakdown - Equipment 414.91
A [redacted] Communicat. 125.33
TSS/Chemical Division A Supplies 87.71
627.95

Date: 8 Oct 59

60-68

RECEIPT

NUMBER 23963

DATE 15 Jan 58

THIS WILL ACKNOWLEDGE RECEIPT OF $ 40 50.00

DOLLARS

CHECK (√) APPROPRIATE ACCT. (S)

- Dr. 100.5 A/D
- Ct. 144.1
- Ct. 144.2
- Ct. 140.0
- Ct. 140.9
- Ct. 740

FROM [redacted] H

FOR

OFFICIAL SIGNATURE [redacted] C

(35)

FORM NO. 1 NOV. 55 102 OBSOLETE PREVIOUS EDITIONS

60-69

Chief, TSS

12 December 1958

Finance Division, O&L/1

Recoverable Balances of Project Expenditures

1. Finance Division records, as of 31 October 1958, indicate the following amount to be recoverable from the listed project.

Project	Balance	Purpose
(H) [redacted]	$425.00	American Airline credit card

2. Please advise this office whether the [redacted] (H) airline credit card is still in use.

[redacted] (A)
Chief, Section 1

18 DEC 1958 Ingram returned to Finance/Ltr with note that Credit Card was not in use.

[redacted]

Ltr to 760-

60 - 70

January 15, 1959

Attached herewith is the sum of $425.00 which is being returned for the purposes of clearing out the [redacted] H funds. This $425.00 is actually still on our books as a deposit for the Air Travel cards but in order to close the [redacted] H funds we are returning this sum.

This sum is one that has never gone through our books. We received the sum of $1,000 cash to transmit to [redacted] B for a particular purpose. We deposited the sum of $575.00 in the bank and wrote a check in the amount of $1,000 to [redacted] B

The remaining $425 is, therefore, able to be returned without raising any questions by outside individuals.

C [redacted]

60-41

October 28, 1958

B [redacted]

[redacted]

Gentlemen:

In accordance with our telephone call, I wish to report the return of the Gray Autograph Machine LSX 790685 through the skill of [redacted]. However, it was necessary for him to spend $25.00 to negotiate the return. C

Attached is the Proof of Loss in the amount of $25.00 and his letter verifying the payment.

Sincerely,

[redacted] C

Assistant Treasurer

C [redacted]

Enc.

NG-5203-901426 28

September 19, 1958

[redacted]

Enclosed please find the [redacted] check in the amount of $240.00 which represents your consultant's fee based on $150.00 a week, or $30.00 a day.

We are considering this a temporary arrangement beginning with September 10th until such time as you and [redacted] come to a decision about the feasibility of the project.

Sincerely,

[redacted]
Assistant Treasurer

[redacted]

Enc.

SECRET

60-73

25 August 1958

MEMORANDUM FOR: THE RECORD

SUBJECT : Field Office - [redacted]

1. This is to record arrangements made for office space to house a field office for The [redacted] and a cover "consulting" service operated by [redacted] and [redacted].

2. A two-room suite in the building owned by [redacted] has been made available to The [redacted] and to [redacted] represented by [redacted] and [redacted]. Furniture in one of the rooms will remain for our use, and The [redacted] will purchase additional office furniture as required. A telephone and secretarial telephone answering service will be provided by The [redacted]. The names "[redacted]" and "[redacted]" will be cast in bronze and placed on the front of the building.

3. For the present no rent will be charged. Suitable new arrangements will be made, however, after January 1959.

[redacted]

Branch III
TSS/Chemical Division

SECRET

60-74

July 2, 1958

E [redacted]

Attention: Savings Account Teller

Gentlemen:

This letter will authorize the withdrawal of $20,000.00 from the [redacted] savings account [redacted] B

This letter also authorizes the deposit of this sum of $20,000.00 into the [redacted] regular checking account which is located in the same branch office. B

Sincerely,

[redacted] C
Treasurer

[redacted] C
Assistant Treasurer

C [redacted]

60-76

RECEIPT

Receipt is hereby acknowledged of the following check:

(E)

Treasurer's Check No. 159512, dated July 15, 1958, in the amount of $27,755.00, drawn on the [redacted] payable to the [redacted]

(B)

[redacted]

C

Date: 7-23-58

60-76

9 July 1958

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSS/Budget Officer

SUBJECT : MKULTRA, Subproject 60, Invoice No. 3
Allotment 8-2502-10-001

1. Invoice No. 3 is attached covering the above subproject. Other invoices will follow latter. Payment should be made as follows:

E Cashier's Check in the amount of $27,755.00, drawn on a [redacted] payable to the [redacted] B

B [redacted]

2. The checks should be forwarded to Chief, TSS/Chemical Division, through TSS/Budget Officer, no later than Wednesday, 23 July 1958.

[redacted] A
Chief
TSS/Chemical Division

Attachments:
Invoice & Certifications

Distribution:
Orig & 2 - Addressee
1 - TSS/FASB

I CERTIFY THAT FUNDS ARE AVAILABLE; OBLIGATION RECORDED [illegible] 2622 CHARGE TO ALLOTMENT NO. F-2502-10-001 [illegible] 1958
AUTHORIZING OFFICER

CHECK #[redacted] IN THE AMOUNT OF $27,755.00 RECEIVED [illegible]
[redacted] A

[redacted]

0642

60-76

[redacted]

INVOICE

For services $27,755.00

[redacted] -B

CERTIFICATIONS

(1) It is hereby certified that this is Invoice No. 3 applying to Subproject No. 60 of MKULTRA, that performance is satisfactory, that services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSS/CD, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSS/Chemical Division

Date: _____

(2) It is hereby certified that this invoice applies to Subproject No. 60 of MKULTRA which was duly approved, and that the project is being carried out in accordance with the memorandum of 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date: _____

[redacted]

60-77

26 June 1958

MEMORANDUM FOR: COMPTROLLER

ATTENTION : Finance Division

SUBJECT : MKULTRA Subproject 60, Additional Authorization No. 3

Under the authority granted in the memorandum dated 13 April 1953, from the DCI to the DD/A and the extension of this authority in subsequent memoranda, Subproject 60 was previously approved. Under the same authority and additional sum of $55,510.00 has been authorized to cover the subproject's expenses (thereby bringing to a total of $100,00.00 funds obligated during FY 58) to be charged to Allotment 3-2502-10-001.

[redacted]
Chief
TSS/Chemical Division

APPROVED FOR OBLIGATION OF FUNDS: [redacted]

27 JUN 1958

I CERTIFY THAT FUNDS ARE AVAILABLE.
OBLIGATION REFERENCE NO. [redacted]
CHARGE TO ALLOTMENT NO. 3-2502-10-001

[redacted]
ACCOUNTING OFFICER

[redacted] Research Director

Date: 27 JUN 1958

Distribution:
Orig & 2 - Addressee
1 - TSS/OC
1 - TSS/FASB

[redacted]

60-78

DRAFT
26 June 1958

MEMORANDUM FOR: THE RECORD

SUBJECT : Continuation of MKULTRA Subproject 60

1. It is requested that Subproject 60 be continued in order that the activities of the [redacted] may be funded for Fiscal Year 1959.

2. The Annual Report of the [redacted] has been published and a copy is attached. This is necessarily a sterile document and as such does not indicate those details which are of a classified nature. Various other services have been rendered by the [redacted] as indicated in part below:

a. 13 separate projects have been funded and maintained by the [redacted] Of these, 1 has been discontinued during the year and 6 have been added.

b. An editorial staff was incorporated in the [redacted] and during the year produced a definitive study of the present status of Handwriting Analysis. This served as the basis for the design of the experimental work now being undertaken on this subject. In addition, the Annual Report of the [redacted] and other documents were produced.

c. Several operational servicing tasks involved in the resettlement of the defectors were carried out. These involved the [redacted]

[redacted]

[redacted] 60-78

d. The [redacted] obtained a sizeable grant of private funds during the year as a start toward establishing an autonomous existence. In turn, the research supported by this grant is consistent with the stated goals of the [redacted] and as such materially contributed to the status and authenticity of the organization.

e. Within the Agency, the Medical Office, the Office of Training, the [redacted] and the [redacted] have utilized the services of the [redacted] on various individual problems.

f. A conference on the [redacted] problem was conducted by the [redacted] and a report on the proceedings of that conference will be available in the near future.

3. During the next year it is anticipated that the [redacted] will continue to operate as a funding and cover organization for TSS/CD, Branch III activities in addition to carrying forward those activities of a continuing nature which are listed above.

4. It is estimated that the total cost of this extension of Subproject 60 will be $55,510.00 for a period of one year, beginning 1 July 1958. A more detailed breakdown of the budget is appended herewith. Charges should be made against Allotment 8-2502-10-001.

TOP SECRET

60-78

[redacted] BUDGET
Fiscal Year
1958-1959

Salaries: Executive Secretary, Assistant, Secretary, Maintenance Man	26,700.00
Rent and Electricity: @115 and @30	1,740.00
Telephone: @100	1,200.00
Dues and Subscriptions:	150.00
Reference Library:	300.00
Audit and Legal:	250.00
Printing (Annual Report):	1,000.00
Office Supplies:	1,200.00
Equipment: 1 cabinet	70.00
Promotion and Entertainment:	1,200.00
Travel:	5,000.00
Maintenance:	200.00
Insurance:	300.00
Payroll taxes:	1,000.00
Miscellaneous (Contigency):	200.00
Fees and Travel for consultants	10,000.00
Special Conferences	5,000.00
	$55,510.00

[redacted]

60-79

May 20, 1958

[redacted] C

Dear [redacted] C

Thank you for your letter of May 15 with its helpful information. We will be pleased to reimburse you for your travel to the conference and will look forward to a visit with you.

Sincerely yours,

[redacted] C

Executive Secretary

[redacted] C

60-80

May 6, 1958

Received the sum of $600.00 from [redacted] B

[redacted] B

[redacted] C

60-81

February 17, 1958

B [redacted]

Gentlemen:

B [redacted] requests exemption from the Sales Tax under paragraph 4 of Section 341-2.0 of the [redacted] B

We have enclosed the following as requested in your Bulletin:

1. Affidavit
2. Certificate of Incorporation
3. By-laws
4. Auditor's Report for 1957 (Includes Financial Statement and Receipts and Disbursements Statement)
5. Copy of letter from [redacted] B

We sincerely hope that the materials enclosed cover all the information you require to rule on our exemption.

Sincerely,

[redacted] C
Assistant Treasurer

[redacted] C

Enc.

60-81

February 17, 1958

AFFIDAVIT

I, [redacted] C B swear that the following information is true:

1. The [redacted] B is a non-profit organization incorporated in May 1955 pursuant to the Membership Corporation Laws of the [redacted] B it is a Charitable organization.

2. The purposes of the [redacted] B are to foster, support and conduct research and investigation in the field of [redacted] B and in related fields; to disseminate knowledge in the field of [redacted] B and related fields by fostering, supporting and conducting lectures, meetings and classes and by publishing or supporting publications concerning such knowledge; to grant fellowships and scholarships and to make grants and donations to individuals and educational scientific and medical and research corporations.

3. Since its incorporation, the [redacted] B has given grants to such institutions as [redacted] B [redacted] B and others. It has given a scholarship to an individual, [redacted] C It has supported the publication of a Newsletter from [redacted] B The Auditor's report states the recipients of monies from the Corporation for the year 1957. The [redacted] B also sponsored a meeting on the [redacted] F that were undertaken by many research organizations.

4. Income for the [redacted] B has come from individuals' donations and another Foundation.

5. None of the income is credited to surplus or may inure to the benefit of any private shareholder or individual.

6. Research work accomplished through support from the [redacted] B is made available to the public through reprints, monographs and scientific publications.

[redacted] C
Assistant Secretary and Assistant Treasure

60-82

OGC/B-8199

14 February 1958

MEMORANDUM FOR: TSS

ATTENTION [redacted] A

SUBJECT : Application for [redacted] B

1. Our contact at the [redacted] B called on 13 February to advise me that the exemption has been granted for the [redacted] B and was being mailed out to the [redacted] at [redacted] B B B

2. He particularly suggested that the [redacted] should be advised that it is not expected to answer the [redacted] letter of 20 B November 1957. No further information or correspondence is required.

3. You recall that you advised that the [redacted] B has a [redacted] B lawyer who apparently was not consulted with respect to the application for [redacted] B B You and I agreed it would be well for TSS and OGC to meet with the [redacted] and probably the lawyer with the view to making better use of the lawyer. You would look into this and contact this Office later.

4. I return herewith the various papers you left with me in connection with the application for exemption and subsequent correspondence between the [redacted] B and the [redacted] B

[redacted] A
Assistant General Counsel

Attachments

[redacted]

60-83

[redacted]

Chief, TSS 3 December 1957

Finance Division, O&L Branch

Recoverable Balances of Project Expenditures

1. Our records, as of 30 September 1957, indicate the following amount to be recoverable from the listed project:

PROJECT	BALANCE	PURPOSE
[redacted]	$425.00	[redacted] credit card

2. Please advise this office whether the [redacted] credit card is still in use.

[redacted]
Chief, Section 1

ED/[redacted]

Distribution:
Orig & 1 - Addressee
1 - Chrono
1 - File
1 - FD Registry

1st Ind. 14 February 1958

TO: Finance Division, O&L Branch

SUBJ: [redacted] Credit Card.

The above card is still in use.

[redacted]
Chief
TSS/Chemical Division

[redacted]

60-84

February 13, 1958

E [redacted]

Attention: [redacted] C

[redacted] C

Enclosed please find two signed signature cards and the
B [redacted] check in the amount of $25,000.00. We would
appreciate your opening a savings account for the [redacted] B.
with this check for the initial deposit.

Thank you for your cooperation in this matter.

Sincerely,

[redacted] C

Assistant Treasurer

[redacted] C

Enc.

[redacted] C

60-85

February 4, 1958

C [redacted]

B [redacted]

C [redacted]

In accordance with our telephone conversation of yesterday, I am reporting the theft of the Company's portable Olivetti, B [redacted] Original Price in 1954, $95.43.

On Friday, January 17th, I took the typewriter to my apartment for the purpose of carrying it with me on Monday, January 20th, to C B [redacted] where I was to do some research work. On January 18th, between 11:30 am and 3:15 pm, my apartment at [redacted] C broken into and the typewriter was taken. In addition to the typewriter, my furs and two souvenir silver dollars were taken.

This theft was reported to the Detective Bureau and [redacted] C C [redacted] is handling the case.

It is our understanding that the loss of the typewriter is covered under our Fire Policy.

Sincerely,

[redacted] C
Assistant Treasurer

[redacted] C

60-86

21 January 1958

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA : TSS/Budget Officer

SUBJECT : HAVANA Subproject 60, Invoice No. 2
Allotment 8-2502-10-001

1. Invoice No. 2 is attached covering the above subproject. Other invoices will follow later. Payment should be made as follows:

E Cashier's Check in the amount of $20,000.00, drawn on [redacted]
Cashier's Check in the amount of $25,000.00, drawn on a local bank.

The two checks should be made payable to [redacted] B

2. The checks should be forwarded to Chief, TSS/Chemical Division, through TSS/Budget Officer, no later than Tuesday, 4 February 1958.

[redacted] A
Chief
TSS/Chemical Division

Attachments:
Invoice & Certifications

934
8-2502-10-001

Distribution:
Orig & 2 - Addressee
1 - TSS/FASB
2 - TSS/CD

E [redacted]

[redacted] A

#3,32 E [redacted]

[redacted] A

60-86

RECEIPT

Receipt is hereby acknowledged of the following checks made payable to [redacted] B

Cashier's check No. M35304, dated January 29, 1958 in the amount of $25,000.00, drawn on [redacted] E

Treasurers Check No. 70209, dated January 30, 1958 in the amount of $20,000.00, drawn on the [redacted] E

[redacted] C

Date: 5 February 1958

[redacted] 60-86

INVOICE

For services $45,000.00

[redacted]

CERTIFICATIONS

(1) It is hereby certified that this is Invoice No. 2 applying to Subproject 60 of MKULTRA, that performance is satisfactory, that the services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSS/CD, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSS/Chemical Division

Date:

(2) It is hereby certified that this invoice applies to Subproject 60 under MKULTRA which was duly approved and that the project is being carried out in accordance with the Memorandum dated 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date:

[redacted]

60-87

December 23, 1957

[redacted]

Attention: [redacted]

[redacted]

Enclosed please find an executed Corporate Resolution, an Authorization for Access to Safe Deposit Box and a Certificate of Election of Officers. I hope these are all in order.

[redacted] and I will pick up our securities and place them in the Deposit Box next week.

The very best of holiday happiness to you.

Sincerely,

[redacted]
Assistant Treasurer

[redacted]

Enc.

60-88

December 16, 1957

[redacted]

Enclosed is my report of a visit with Professor [redacted] friend, [redacted], whom I felt might be able to provide us with some assistance on research in progress in the USSR.

I am not sure that continuation of this service would be justifiable, but the following are possibilities that: a) he screen and provide brief summaries of articles which appear to be of interest at a cost of $25 per 100 pages; b) he work on a monthly retainer basis (after a trial period involving time expended; or c) he work on a daily basis of $25 to $30 a day.

The [redacted] and the [redacted] provide a partial translating service on some items. The items on the individual articles must be identified in advance to take advantage of these services. Therefore, it is possible that a screening service (a sort of on-going, annotated, bibliography) might have some value to us.

Should we utilize [redacted] services?

Sincerely yours,

[redacted]
Executive Secretary

[redacted]

Encl: 2 (Copy of visit,
copy of report by [redacted])

60-89

December 10, 1957

[redacted]

[redacted]

Enclosed please find our check in the amount of $90.00. I want to take this opportunity to thank you again for your prompt and thorough analyses. I will be in touch with you after the psychological judgments have been received.

Sincerely,

[redacted]
Technical Writer

[redacted]

Enc.

60-90
60-1

December 3, 1957

[redacted]

Attention: [redacted]

[redacted]

We have received notice that all of our U. S. Treasury Notes are ready for delivery. However, our Directors' meeting will not be held until December 20th when the resolutions you requested and the resolutions permitting a safe deposit box will be approved.

We would appreciate it, therefore, if the Bank could hold these Notes for us until after the meeting when we could put them in one of your safe deposit boxes.

Thank you for your consideration in this matter.

Sincerely,

[redacted]
Assistant Treasurer

[redacted]

Telephoned it is O.K.

60-9

GRANT ACCOUNTING
July 1957-June 1958

NAME AND DATE OF GRANT	OBLIGATED AMOUNT OF GRANT	EARMARKED REC'D BY SOC.	PAID BY SOCIETY	OBLIGATED NOT ON HAND	OBLIGATED ON HAND
B [redacted] 9-1-56/8-31-57	2,500.00	2,500.00	0	0	2,500.00
C [redacted] April 1957	10,000.00	10,000.00	0	0	10,000.00
[redacted] June 1956/May 31, 1957	0	(6,611.19)	0	0	0
B [redacted] 4-1-57/3-31-59 C [redacted]	38,180.00	19,080.00	10,000.00	19,100.00	19,080.00
C [redacted] July 1957 1 year	10,000.00	0	5,000.00	10,000.00	0
B [redacted] C [redacted] 7-1-57 1 year	50,000.00	0	0	50,000.00	
B [redacted] C [redacted] 7-1-57	50,000.00	0	0	50,000.00	
B [redacted] [redacted] July 1957 1 year [redacted] C	500.00	500.00	500.00	0	0

60-92

August 1, 1957

[redacted]

We are in receipt of a letter from [redacted] which lists checks issued from your [redacted] from the period January 2, 1957 to June 19, 1957 and also gives us your verbal statement as to payables. Unfortunately, this is not too helpful to us.

On November 8, 1955, we forwarded you the sum of $8,000. We would like to know what was spent from this sum under the following categories:

Salaries
Office Supplies
Equipment
Rent
Electricity
Travel
Entertainment
Overhead

The remaining balance should check with your bank balance or cash on hand.

The obligations or accounts payable as listed by you are not clear in that the amounts owed for professional services does not indicate for what period these professional services represent.

I appreciate the difficulty you have gone to to obtain this statement. Actually, all we require is a full account of income and expenditures. I am sure that [redacted] can supply this in a few moments time. We are holding in abeyance any further action until we hear from you.

Sincerely,

[redacted]
Executive Secretary

[redacted]

60-93

[redacted] B [redacted] B [redacted] B

July 26, 1957

C [redacted] B

Sir:

From Bank Statements and Cancelled Checks inspected by me, the following is a record of Check Disbursements during 1957 from January 2, 1957 to June 19, 1957, together with the balance in the bank account as of the latter date of $7 751 93.

E [redacted] - Checking Account
In the Name of [redacted] C

Balance per Bank Statement January 2, 1957 - $9 244 38

Check Disbursements Date Check 1957	Check #	Paid To		Explanation Furnished by [redacted] C
Jan. 25	48	[redacted] C	637 50	Professional Serv
Jan. 25	49		656 25	"
Mar 15	50		100 00	"
Jun 13	51		75 00	"
Jun 13	52		23 70	Expenses and supported by Rece
			1 492 45	

Balance per Bank Statement June 19, 1957 7 751 93

According to [redacted] C there were no check disbursements during July 1957, so that the bank balance as of July 26, 1957 is $7 751 93 as above.

According to [redacted] C verbal statement to [redacted] C the following are Accounts Payable as of July 26, 1957

For professional Services

[redacted] B [redacted] B [redacted] B 60-93

Page 2 of Letter July 26, 1957 [redacted] to [redacted]

Accounts Payable July 26, 1957 Continued

Professional Services

[redacted]	192 50
	150 00
	150 00
	450 00

Expenses

[redacted]	290 00

Total Accounts Payable 1 607 50

Yours truly,

[redacted]

60-94

NO. 231

8-2502-10-001

ALLOTMENT

DATE	REMARKS AND REFERENCES	OBLIGATIONS INCURRED	OBLIGATIONS LIQUIDATED	CUMULATIVE EXPEND.
5 JAN 1957	Sub to Authorization #2	15,000.00		15,000.00
22 JAN 1957	Invoice #2		15,000.00	—
		23[illegible]		

60-95

[redacted]

30 July 1957

MEMORANDUM FOR: COMPTROLLER

ATTENTION : Finance Division

SUBJECT : MKULTRA, Subproject 60, Additional Authorization No. 4

Under the authority granted in the memorandum dated 13 April 1953, from the DCI to the DD/A and the extension of this authority in subsequent memoranda, Subproject 60 was previously approved. Under the same authority an additional sum of $45,000.00 has been authorized to cover the subproject's expenses (thereby bringing to a total of $45,000.00 funds obligated during FY 58) to be charged to Allotment: 8-2502-10-001.

(A)
[redacted]
Acting Chief
TSS/Chemical Division

APPROVED FOR OBLIGATION OF FUNDS:

031
8-2502-10-00

(A)
[redacted]
Research Director

Date:

Distribution:
Orig (1) - Addressee
1 - TSS/CS
1 - TSS/FISD
1 - TSS/ERB

[redacted]

[redacted] (A) 60-96

DRAFT [redacted]
30 July 1957

MEMORANDUM FOR: THE RECORD

SUBJECT : Continuation of MKULTRA Subproject 60

1. It is requested that (B) Subproject 60 be continued in order that the activities of the [redacted] may be funded for Fiscal Year 1958.

2. The Annual Report of the [redacted] (B) is now in preparation but will not be published until Fall, 1957. However, during the past year the following has been accomplished:

a. The Board of Directors has been expanded to include three highly competent professionals representing the fields of psychiatry, psychology and international relations.

b. A full time executive secretariat of four persons has been entered on duty.

c. Eight separate projects have been funded and monitored by the [redacted] (B). Of these, one has been discontinued during the year and two have been added.

d. Currently, three new projects have been approved by the Board and are under preparation for submission to C/TSS. Two proposed projects are under review by the Board.

e. Within the Agency, the Senior Research Staff and the [redacted] Staff have initiated contact with the [redacted] (B) and at least one project funded outside TSS may be started during the year.

f. The [redacted] (B) has provided consultative services for the Office of the Director, [redacted] (C)

g. A seminar on [redacted] (B) has been conducted and a report written. This has been reported in detail in [redacted] and was the subject of an intra-government release by the [redacted] (B) of the [redacted]

[redacted]

[redacted] 60-96

h. Steps have been initiated, with the assistance of the DCI, to get independent funds. It is hoped to complete this transaction within the next year.

i. Liaison has been established with all major foundations, behavioral science research groups, and government research facilities in behavioral sciences.

3. During the next year it is anticipated that the (B) [redacted] will continue to operate as a funding and cover organization for TSS/CD, Branch III activities in addition to carrying forward those activities of a continuing nature which are listed above.

4. It is estimated that the total cost of this extension of Subproject 60 will be $45,000.00 for a period of one year, beginning 1 July 1957. A more detailed breakdown of the budget is appended herewith. Charges should be made against Allotment 8-2502-10-001.

5. For security considerations, and in order to authenticate the cover of this organization, the accounting and audit practices used by the (B) [redacted] shall conform to (B) [redacted] as applicable to the (B) [redacted]. Sufficient accounting for the funds advanced under this project therefore shall be the submission for retention by the sponsor of a copy of the annual CPA statement as prepared for the (B) [redacted] Funds included in such an audit report shall be considered to have been adequately accounted for by the sponsor.

6. Equipment purchased by the (B) [redacted] shall remain the property of the Government and will be returned in the event the (B) [redacted] is dissolved.

7. The permanent members of the (B) [redacted] are all cleared and witting. They will also be available to duly designated Agency officials for all necessary purposes. However to maintain the security of the

[redacted]

[redacted] 60-96

operation Agency employees except duly designated TSS/CD personnel (B) (B)
will not make contact with [redacted] personnel in [redacted] Exceptions
to this shall be as determined by C/TSS/CD.

[redacted] (A)

Chief, Branch III
TSS/Chemical Division

APPROVED FOR OBLIGATION OF FUNDS: Approved:

[redacted] (A) [redacted] (A)

Research Director Acting Chief, TSS/Chemical Division

Date: July 31 1957

Attachment:
Budget

Distribution:
Original only

[redacted]

[redacted] 60-96

BUDGET
7-1-57/7-1/58

SALARIES:	
Executive Secretary ([redacted] now on duty) (C)	$14,000.00
Editor ([redacted] now on duty)	6,000.00
Assistant Secretary and Tresurer ([redacted] now on duty) (C)	6,000.00
Clerk Stenographer ([redacted] now on duty) (C)	4,000.00
	30,000.00
Soc. Sec. 2 1/4% (required under [redacted]) (B)	810.00
Unemployment (required under [redacted]) (B)	360.00
Workmen's Compensation (required under [redacted]) (B)	720.00
	31,890.00
RENT AND UTILITIES	
Office space (now under 2 year lease at $230.00 per month)	2,760.00
Telephones at $80.00 per month	960.00
Electricity at $40.00 per month	480.00
	4,200.00
LEGAL AND AUDIT	
Legal	200.00
Audit	250.00
	450.00
OFFICE EXPENSES	
Postage	300.00
Printing and Stationary	200.00
Supplies @40.00 per month	480.00
Reference Library	200.00
Dues and Subscriptions	200.00
Bank Charges	20.00
Office Equipment	1600.00
Insurance	300.00
	3,300.00

[redacted]

PROMOTION AND TRAVEL	
Promotion	$2,000.00
Travel	3,000.00
	5,000.00
CONTINGENCY FUND	500.00

RECAPITULATION

Salaries	$31,890.00
Rent and Utilities	4,200.00
Legal and Audit	450.00
Office Expenses	3,300.00
Promotion and Travel	5,000.00
Contingency Fund	500.00
	$45,340.00

39 60-97

[redacted] B [redacted]

March 28, 1957

C [redacted] B [redacted] C [redacted] C

The research project in [redacted] is moving forward at a rapid pace. For some time we were held up by our inability to build a large backlog of patients at one time. These problems have been resolved.

During the calendar year 1956 our expenditures were as follows:

Professional Services	$ 2468.75
Travel and Hotel Expenses	179.26
Total Expenditures	$ 2648.01
Balance on Hand, 2/25/57	$ 7950.63

At the present moment, several of the workers have not been paid for professional services, and there will be an immediate outlay of several thousand dollars. It is suggested that another check in the amount of $10,000 be forwarded to the writer for deposit in his [redacted] C account.

Very truly yours,

[redacted] C

Executive Director

C [redacted]

(A) [redacted]

ULT-60-1

60-98

March 25, 1957

Memorandum

Subject: Budget

Attached is a budget for the calendar year 1957 which has been reviewed and approved by the Board of Directors of the [redacted]. This budget represents a departure from the previous system of funding the [redacted]. The departure has been carefully undertaken in order to accomplish two purposes: (1) Improved cover by making the [redacted] financial operations more similar to that of other non-profit organizations, and (2) To provide for more autonomy of the Board of Directors of the [redacted] in certain scientific fields thereby enhancing their value to the Company.

(B) It will be noted that the first 6 months of this budget was approved for the fiscal year 1957.

The item identified as Miscellaneous Small Grants appears on the [redacted] budget for the first time. It is proposed that through the use of well placed individual grants, the [redacted] will be able to bring its operations more closely into alignment with other foundations and will be able to explore promising areas of research at low cost to assist its further programing of applied research tasks.

The proposed change in procedure in handling of the [redacted] financial activities is equal to the establishment of the [redacted] as a "prime" contractor in that: (a) No budgeting will be accomplished by the Company on a project basis (additional tasks undertaken by the [redacted] for the Company will be funded by supplements to the [redacted] budget rather than the establishment of new budget line items.) (b) Contact with sub-contractors or grantees will be maintained by the [redacted] and only indirectly by the Company. (c) Policies established by the [redacted] in keeping with practices of other foundations will govern the expenditures and operations of sub-contractors and grantees.

All negotiations of the [redacted] are or will be governed by a series of policy guides which will be submitted in advance for approval by the Company. Financial records of all transactions of the [redacted] will be audited by certified public accountants, and in addition, all accounts are available for examination at any time by responsible authorities of the Company.

60-98

The executive secretary assumes personal responsibility and accountability for all financial activities of the [redacted]. He has applied for a Fidelity Bond in the amount of $100,000 in favor of the [redacted] and is answerable at any time to the Company for handling of its funds.

(B)

It is the intention of the [redacted] to supplement the funds contained in the attached budget by outside grants from time to time. These funds will be carefully segrated and identified in such a way that identification of Company's funds shall be maintained. It is felt that in this manner the [redacted] can, in fact, be productive in scientific research relevant to those needs of the Company at reduced (and perhaps no) expense to the Company.

60-98

BUDGET FOR [redacted] (B)
Jan. 1 - Dec. 31, 1957

Salaries	44,200.00	
Taxes and fringe benefits	2,900.90	47,100.90
Rent and Utilities		8,520.00
Consultants' Fees		3,600.00
Legal and Auditing		750.00
Office Expenses (Inc. Ref. Library, Dues & Subsc., Supplies, Stationery etc.)		1,975.00
Promotion and Travel		11,000.00
Grants*		
(B) [redacted]	132,000.00	
[redacted]	27,000.00	
[redacted]	20,000.00	
Misc. Small Grants	25,000.00	204,000.00
Conferences		1,000.00
Total Budget		$277,945.90

60-99

(A) [redacted] Blanket

60-1

(B) [redacted]

BUDGET MEMORANDUM

The attached budget reflects an expansion of executive duties to include a small editorial staff for the purpose of preparing reports in non technical language in the hope that it will improve and expedite utilization of pertinent research findings. The budget also provides for the possibility of a change in location of the Executive Offices in order to reduce the opportunity for compromise.

The estimates included are based upon the last calendar year's operations.

The Grant item identified as Miscellaneous Small Grants has been entered into the budget to enable, in limited number, grants to be made for the express purpose of providing cover and diffusion of interest in and for the [redacted] (B) It is essential that the [redacted] (B) operate in every respect in the same manner as other non profit foundations in order that its responsibilities to its sponsors can be fully met. Concentration of grants can or might identify interest to the point that a productive opportunity would be lost.

It is also essential that portions (B) of this budget be met from other foundations' grants to the [redacted] Such additional revenue will not only improve cover but will enhance the opportunity to be of service to the sponsors by permitting the sponsors' funds to be applied as completely as possible to highly relevant research undertakings and permitting additional research to be accomplished. Efforts are now being directed toward obtaining such outside support.

[redacted] (C)
Executive Secretary and Treasurer

60-99

(B) [redacted]

Proposed Budget, Jan. 1 - June 30, 1957

(C) [redacted] Project

Regular Salaries

[redacted]	5,500	
[redacted]	4,000	
(C) [redacted]	1,000	
[redacted]	2,000	
Administrative, clerical and typing costs	7,505	
	20,005	
Soc. Sec. 2½% & 5% Retire.	1,450	
		$21,455
Special payments	2,000	
Equipment	1,200	
Supplies	1,200	
Telephone	300	
Library	100	
Miscellaneous	500	
Travel	1,000	
Statistics	300	
		6,600
15% Overhead ($28,055 less $16,695 - amount of salary obligated on which overhead has been charged.)		1,204
		$29,759

Additional expenses required for Hungarian Study

Hungarian speaking Clin. Psychologist, 6 mos.	5,000	
Hungarian speaking Physician and translator, 6 mos.	3,900	
Hungarian speaking anthropologist	1,625	
Interpreter	1,600	
"	2,000	
	14,125	
Soc. Sec. 2½% & 5% Retire.	1,024	
		15,149
Extra typing	2,500	
Informant fees for 65 inf.	1,625	
Meals, taxis, & incidentals	1,000	
Possible travel expenses	600	
Room for interpreter	300	
" " informants	600	
		6,625
15% Overhead		3,766
		25,540
		$54,799
Available in present budget		42,928
Additional request for carrying through		$11,871

(H) [redacted]

7 4 0 0 0 0 C
3 1 0 7 1 7 5 -

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2 7 5 4 6 7 5
5 5 0 0 0 C
4 0 0 0 0

3 3 4 4 6 7 5 S
2 3 7 5 0 0 -

3 1 0 7 1 7 5 *

60-99

(B) [redacted]

Proposed Budget, Jan. 1 - June 30, 1957

(C) [redacted] Project

(C) [redacted]

	2,500	
	4,250	
	3,000	
	1,550	
	2,000	
	1,560	
	4,750	
	1,475	
	4,500	
	25,585	
Soc. Sec. 2½% & 5% Retire.	1,855	
		27,440
Supplies	200	
Equipment, office	300	
Technical equipment	500	
Travel	250	
Reference library	75	
		1,325
15% Overhead ($28,765 less $16,695 - amount of salary obligated on which overhead has been charged)		1,810
		$30,575

(B) [redacted]

Budget - July 1, 1956 - Dec. 31, 1956

Amounts Obligated in FY 1955-56 but Paid in FY 1956-52		
Equipment	399.55	
Supplies	352.76	
Reference Library	23.29	
Miscellaneous	120.09	
Telephone, electricity & exterminator	190.79	
Travel (including taxis)	316.42	
		$1,402.90
(C) [redacted] Project		
Equipment	1,290.48	
Supplies	497.59	
Reference Library	43.81	
Miscellaneous (including warehouse bill, settlement with [redacted] malpractice insurance, (C) (B) install. of air conditioners, and reprints [redacted]	1,882.45	
Estimated salaries (includ. special payments, soc. sec. and 5% retire. plan)	20,232.34	
Utilities	416.16	
Travel	585.07	
Administrative Fee	2,590.85	
		27,546.75
(C) [redacted] Project		
Equipment	168.00	
Supplies	37.14	
Miscellaneous	57.99	
Estimated salaries (includ. soc. sec. & 5% retire.	18,042.27	
Administrative fee	2,041.95	
		20,347.35
Amount obligated for salaries, Jan. - June 1957		33,390.55
Rent for (C) [redacted] House		2,225.00
GRAND TOTAL		$84,912.55

60-99

EQUIPMENT

(C) [redacted] Project

1 ea Bookcase, oak	24.50
1 ea " mahogany	36.20
1 ea Rug, wool, gold, 15" x 10 3/4"	100.00
1 ea Electrical clock	7.98
1 ea Double-door utility cabinet, new green	42.50
4 ea Walnut armchairs @ $21.50 ea	86.00
1 ea Chippendale walnut table	69.50
4 ea Rubber cushions @ $3.25	13.00
1 ea Used steel utility cabinet	26.00
1 ea Used Walnut telephone stand, 16 x 20 with shelf	9.95
1 ea Folding cot	30.00
1 ea Supply cabinet for lavatory	20.55
1 ea Couch, saddle arms, tangerine	193.00
11 ea Picture frames	67.50
1 ea Treatment cabinet #994, complete with accessories	112.20
1 ea Examining chair table, #9832, complete with accessor.	328.10
1 ea Examining table, model 120, 3 sections with heel stirrups	96.00
1 ea Pad, type C, regulation, black	22.50
	1,290.48

(C) [redacted] Project

Electrical lighting installation in lab	168.00

60-99

(C) [redacted] PROJECT

SALARIES

July 1956 (includ. 88.40 [redacted] Maint.)	3,084.55	
2% Soc. Sec. & 5% Retire.	215.92	
Special Payt. (1956 expend.)	211.66	3,512.13
August 1956 (includ. 88.40 [redacted] Maint.)	3,100.88	
2% Soc. Soc. & 5% Retire.	217.06	
Special Payt.	418.21	7,248.28
September 1956 (includ. 88.40 [redacted] Maint.)	2,653.55	
2% Soc. Soc. & 5% Retire.	195.75	
Special Payt.	226.44	10,324.02
October 1956 (includ. $88.40 [redacted] Maint.)	2,192.55	
2% Soc. Sec. & 5% Retire.	152.78	
Special Payt.	417.43	13,086.78
November 1956 (includ. $88.40 [redacted] Maint.)	2,459.19	
2% Soc. Sec. & 5% Retire.	172.14	
Special Payt.	531.17	16,249.28
December 1956 (includ. $83.40 [redacted] Maint.)	3,074.46	
2% Soc. Sec. & 5% Retire.	215.21	
Special Payt.	593.39	
Statistical Services	100.00	20,232.34

(C)

60-99

(C) [redacted] PROJECT

SALARIES

July 1956	2,817.49	
2% Soc. Sec. & 5% Retire.	197.22	3,014.71
August 1956	2,579.16	
2% Soc. Sec. & 5% Retire.	180.54	5,774.41
September 1956	2,909.49	
2% Soc. Sec. & 5% Retire.	203.66	
Special Payment	14.28	8,901.84
October 1956	2,847.49	
2% Soc. Sec. & 5% Retire.	199.32	11,948.65
November 1956	2,847.49	
2% Soc. Sec. & 5% Retire.	199.32	14,995.46
December 1956	2,847.49	
2% Soc. Sec. & 5% Retire.	199.32	18,042.27

60-100

RECEIPT

Receipt is hereby acknowledged of the following four checks:

Cashier's check No. 400841, dated February 12, 1957, drawn on a [redacted] (E) in the amount of $10,000.00, payable to [redacted] (B)

Cashier's check No. M25896, dated January 30, 1957, drawn on [redacted] (E), in the amount of $2,000.00, payable to [redacted] (B)

Cashier's check No. A107019, dated January 30, 1957, drawn on the [redacted] (E), in the amount of $8,000.00, payable to [redacted] (B)

Cashier's check No. DM40066, dated January 31, 1957, drawn on [redacted] (E), in the amount of $5,000.00, payable to [redacted] (B)

[redacted] (C)

Date: 26 Feb 1957

60-101

RECEIPT

Receipt is hereby acknowledged of the following four checks:

E Cashier's check No. 400841, dated February 12, 1957, drawn on a [redacted] in the amount of $10,000.00, payable to [redacted] B

E Cashier's check No. M25896, dated January 30, 1957, drawn on [redacted] in the amount of $2,000.00, payable to [redacted] B

E Cashier's check No. A107019, dated January 30, 1957, drawn on the [redacted] in the amount of $6,000.00, payable to [redacted] B

E Cashier's check No. DM40066, dated January 31, 1957, drawn on [redacted] in the amount of $3,000.00, payable to [redacted] B

DETACH AND RETAIN THIS STUB
IT IS YOUR RECEIPT

CASHIER'S CHECK

NUMBER [redacted] B

THIS RECEIPT MUST BE PRESENTED WHEN REQUESTING INFORMATION CONCERNING THIS CHECK.

TO BE FILLED IN BY PURCHASER

AMOUNT

DATE

PAYEE E

[redacted]

Date:

FILE SUB 60

[redacted] A

January 21, 1957

B

Received from [redacted] 4 file safes for storage purposes.

[redacted] A

60-103

[redacted] A

F-16-E 66

Chief, Transportation Division, OL 13 January 1957

THRU : Chief, [redacted]

Chief, [redacted]/R&S

Subject: Pick-up Service and Supply Action

1. It is requested that government sterile transportation be provided to remove by 23 January 1957 four (4) filing cabinets, [redacted] cap size, four drawer high x one drawer wide with three-way combination lock located at the following address:

[redacted] B

2. C [redacted] is expecting to be contacted concerning the removal of these safes. Arrangements for establishing a schedule, without mention of government association, should be made by indicating that the action was initiated by [redacted], Executive Secretary of the Society.

3. As the need for these safes has terminated, it is requested that they be returned to stock and T&S/CD be credited for the property turn-in.

A [redacted]

Distribution:
2 - Addressee
2 - [redacted]/OL
1 - [redacted]/R&S
1 - 13 LCC GEN R&SFS File
1 - T&S/CD Info

A [redacted]

[redacted]

60-104

NO. 2526

6-2502-10-001

-60-

ALLOTMENT

DATE	REMARKS AND REFERENCES	OBLIGATIONS INCURRED	OBLIGATIONS LIQUIDATED	UNLIQUIDATED BALANCE
20 JUN 1956	Authorization	50,000.00		50,000.00
23 JAN 1957	Invoice #1		25,000.00	25,000.00

60-105

18 January 1957

MEMORANDUM FOR: CHIEF, FINANCE DIVISION

VIA: TSS/Budget Officer

SUBJECT: MKULTRA Subproject 60, Invoice No. 1
Allotment #-2502-10-001

1. Invoice No. 1 is attached covering the above subproject. Payment should be made as follows:

[redacted] Cashier's check in the amount of $10,000.00, drawn on a [redacted]

[redacted] Cashier's check in the amount of $8,000.00, drawn on a [redacted]

[redacted] Cashier's check in the amount of $5,000.00, drawn on a [redacted]

[redacted] Cashier's check in the amount of $2,000.00, drawn on a [redacted]

All four checks should be made payable to [redacted] -B

2. The checks should be forwarded to Chief, TSS/Chemical Division, through TSS/Budget Officer, no later than Friday, 1 February 1957. Other invoices will follow.

SIDNEY GOTTLIEB
Chief, TSS/Chemical Division

Attachments:
Invoice & Certifications

Distribution:
Orig & 2 - Addressee
1 - Comptroller
1 - TSS/FASB
2 - TSS/CD

TSS/CD: [redacted] (18 Jan 57)

[redacted]

60-105

[redacted]

INVOICE

For services $25,000.00

B

[redacted]

CERTIFICATIONS

(1) It is hereby certified that this is Invoice No. 1 applying to Subproject 60 of MKULTRA, that performance is satisfactory, that the services are being accomplished in accordance with mutual agreements, that a detailed agenda of the payments and receipts is on file in TSS/CD, that this bill is just and correct and that payment thereof has not yet been made.

Chief, TSS/Chemical Division

Date:

(2) It is hereby certified that this invoice applies to Subproject 60 under MKULTRA which was duly approved and that the project is being carried out in accordance with the memorandum dated 13 April 1953 from the DCI to the DD/A, and the extension of this authority in subsequent memoranda.

Research Director

Date:

[redacted]

60-106

[redacted] FILE [redacted]

60-1

October 11, 1956

I, [redacted], received two Bell Recorders from

[redacted]

60-107

12 April 1956

MEMORANDUM FOR: CONTROLLER

ATTENTION : Finance Division

SUBJECT : NEPA, Subproject 60

Under the authority granted in the memorandum dated 13 April 1956 from the ACC to the DP/A, and the extension of this authority in subsequent memoranda, Subproject 60 has been approved and $30,000.00 of the over-all NEPA project funds has been obligated to cover the subproject's expenses. This obligation of funds should be charged to Allotment 6-2502-10-001.

SIDNEY COTTRELL
Chief
TSS/Chemical Division

APPROVED FOR
OBLIGATION OF FUNDS:

[redacted]
Research Director

ORN-2526
6-2502-10-001

Date 12 June 56

Distribution:
Orig & 2 - Addressee
1 - TSS/CC
1 - TSS/FASB
1 - TSS/SRB
2 - TSS/CD

TSS/[redacted] (11 Apr 56)

[redacted]

[redacted] 60-108

DRAFT/[redacted] - A

12 April 1956

MEMORANDUM FOR: THE RECORD

SUBJECT : MKULTRA Subproject 60

1. Subproject 60 is being initiated in order that the activities of the [redacted] - B may be enlarged and a mechanism provided for funding this expansion.

2. After thorough discussion between the [redacted] - B officers and members of TSS/Chemical Division, it has been proposed that:

A. The [redacted] - B be separated physically from the present [redacted] - B and

B. The [redacted] actively undertake the "spotting" of competent research facilities. (See the attached proposal for a more detailed outline of the [redacted] proposed activities).

3. It is estimated that the total cost will be $50,000.00 for a period of one year, beginning 1 July 1956. Charges should be made against Allotment 6-2502-10-001.

[redacted] - A
TSS/Chemical Division

APPROVED FOR OBLIGATION OF FUNDS: [redacted] - A
Research Director

APPROVED: [redacted] - A
Chief, TSS/Chemical Division

Date June 12, 1956

Original Only [redacted]

60-707

At the present time, the [redacted] — B is an integral part of MKULTRA Subproject 48, and is administered as part of this subproject.

B — The [redacted] offices are physically located at [redacted] — B which is also the area where the [redacted] — B has its subsidiary offices. The premises are known as

B — the [redacted] and there is no separate listing in the telephone directory, or elsewhere, for

B — the [redacted] — B All officers of the [redacted] hold administrative or faculty appointments at [redacted] — B

C — [redacted] is President of the [redacted] — B

C — [redacted] is Vice-President, [redacted] — C is Secretary-Treasurer, and [redacted] — C is Assistant Secretary-Treasurer. These officers, plus [redacted] of the [redacted] — B constitute the Board of Directors as required by [redacted] — B

B — This [redacted] was developed with two purposes in mind:

(1) To provide a reasonable and efficient cutout for funding the MKULTRA 48 projects; and

(2) To provide a mechanism for exploiting the human ecology research program in other areas outside [redacted] — B

Subsidiary purposes of the [redacted] were to serve as a cutout for other selected MKULTRA subprojects and to maintain a mechanism

B

(2)

for dealing with [redacted] and [redacted] outside the [redacted] administrative framework. The corporation was established and recorded in accordance with [redacted] laws in consultation with an Agency cleared attorney. At the present time, all officers and board members are fully cleared and witting of Agency sponsorship.

The [redacted] was actually established in 1955. This was after [redacted] was transferred to TSS/Chemical Division, and reconstituted as MKULTRA Subproject 48. However, plans for the [redacted] were formulated as part of [redacted] and the final incorporation proceedings were the culmination of the original plans.

During recent months, it has become increasingly clear that as now constituted, the [redacted] cannot adequately meet the needs for which it was established. In the first place, [redacted] has had the major administrative responsibility for the [redacted] in addition to administrative responsibilities for our [redacted] projects and his normal responsibilities to the [redacted] Recently, he indicated that he must devote more time to his normal medical school responsibilities. He also indicated that he must free himself to devote more time to his professional responsibilities as a physician. This undoubtedly means that he must eliminate some of the time now available to us.

60-109

Secondly, as new projects arose to be funded through the [redacted] it became obvious that the [redacted] must be given independence from [redacted] and must be given more established stature in the research community to be effective as a cover organization. Some projects, while falling under the general head of human ecology, are best mounted in departments of chemistry, psychology or anthropology, independent laboratories, and private individuals, rather than the medical school setting. In addition, the apparent proprietary interest of [redacted] and the duplication of responsibilities of the officers definitely limited the versatility and usability of the [redacted] mechanism.

These considerations were discussed with [redacted] and [redacted] and both agreed that separation was advisable. It was made clear that [redacted] and [redacted] would continue to be very active in the affairs of the [redacted] but that the major responsibility for administration of the corporation would be taken out of their hands.

Therefore, the following recommendations are made:

(a) It is recommended that the [redacted] incorporated in the [redacted] be separated physically from the [redacted] This would entail

locating, renting, and furnishing an office site. If this were done, the present facilities occupied by the [redacted] could be vacated sooner than now planned. This would also mean that less space would be required in the new building now under construction by [redacted]

(b) It is recommended that [redacted] and [redacted] continue as Chairman and Vice-Chairman of the Board of Directors, but as soon as feasible other directors will be elected, making the Board more representative of the research community at large rather than just [redacted] and also more representative of all the behavioral sciences than just medicine. These new members would all be fully cleared, witting consultants to the Agency. This Board would govern the [redacted] in accordance with [redacted] subject to the guidance of TSS designated Agency officials.

(c) It is recommended that provision be made for the selection and appointment of a full-time Executive Director of the [redacted] The duties of this Director would include, in addition to his administrative responsibilities to the [redacted] active monitoring of ongoing external research funded through the [redacted] spotting, evaluating and recruiting competent research facilities capable of undertaking the type of research applicable to intelligence

60-109

activities, participating in the planning and implementation of certain intelligence related research projects, and acting as cutout and liaison with Agency personnel on pertinent matters coming under the purview of the [redacted] B

Attached hereto is a proposed budget based on estimated cost. It should be noted that that part of the budget of MKULTRA Subproject 48 now allocated for the [redacted] B would be transferred. The salary for the Executive Director is the only item not already covered in the [redacted] B budget.

It should be emphasized that the work of the [redacted] B will follow the pattern already established. The new developments proposed here will be carefully checked out at each step with the cleared lawyer already designated the [redacted] B attorney. The fiscal and administrative control will remain the same, except that it is believed the full-time Director will make possible greater efficiency.

Finally, there are certain projects (e.g. MKULTRA 49, C [redacted] C MKULTRA 43, [redacted] C MKULTRA 10, [redacted] C that are now funded through B the [redacted] which are not completely compatible with the general purpose of the Fund. The B [redacted] will be developed in such a manner that the types of studies consistent with its purpose will be reconstituted gradually to be funded and monitored through the [redacted] B Thus, the [redacted] B will

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become a parallel organization to handle certain types of behavioral science research that are not easily managed through the [redacted]. In general, the purpose and scope of the original [redacted] will be more readily implemented and expanded by this proposed reorganization.

B

4

(Attachment)

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Salaries:		
Executive Director	Up to	$15,000
Administrative Assistant	"	6,000
Stenographer	"	4,000
Clerk, receptionist	"	4,000
		$29,000
Travel:		$ 5,000
Upkeep:		
Rent		12,000
Utilities		1,000
Equipment and supplies		2,000
		$15,000
Contingency:		$ 1,000
	TOTAL	$50,000

[redacted] 60-710

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5 July 1955

[redacted] - H

Goals:

1. To accumulate and maintain material for a central repository of all information with particular emphasis on original debriefing material, pertinent to any special methods used by friendly or opposition countries in influencing people under their control. In addition, a continuing program of debriefing of knowledgeable returnees and defectors will be inaugurated for the specific purpose of obtaining information in this area.

2. To inaugurate and maintain studies in this country, using resident alien groups, on pertinent and operationally important characteristics of the ethnic and racial groups. These research activities, when sufficiently formalized, will be made available to the DD/P division concerned for any use in long range agent recruitment that is desired.

3. To inaugurate basic and applied studies in the use of drugs and psychological techniques of potential offensive or defensive use to the clandestine operations of the Agency.

Agency Needs:

1. A need for a better understanding of the functions of the human brain and how these are affected by chemicals, physical injuries, and procedures such as isolation and hypnosis.

2. A need to know more about what kind of information must be obtained about individual men in order to assess them in terms of their capabilities and probable performance in various situations; and a need to know how to obtain this information under operating conditions.

3. A need to know more about the genesis of the attitudes, behavior, and motivations of man and how these can be altered and controlled.

4. A need to know what aspects of the culture and society from which an individual originates must be taken into consideration in assessment and prediction of performance.

5. A need to know more precisely how stress situations stemming from interpersonal relations affect human behavior, attitudes, thought processes and bodily functions.

6. A need

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[redacted]

[redacted] 60 77

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6. A need to have available a group of consultants, knowledgeable in the fields described above, and also witting of the general problems faced by the company in these fields; who can be called upon to give advice and assistance about immediate problems which arise from time to time; and who can also from time to time review the fields of our own efforts and those of the enemy, and advise what new investigative programs need to be undertaken.

C

Note: [redacted] discussed this memorandum with the DCI July 5, 1955. The DCI was much impressed and requested a copy of the memorandum for his use.

[redacted] Rotation

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[redacted]

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[redacted]

[redacted] Subproject 60

Date of Original Authorization	Period Covered	Fiscal Year Ended to	Allotment Number	Amount of Obligation
12 June 56	1 Jul 56-57		6-2502-10-001	50000.00

Additional Authorizations	Period Covered	Fiscal Year Ended to	Allotment Number	Amount of Obligation	
#2			8-2502-10-001	45,000.00	30 July 57
#3			8-2502-10-001	55,510.00	26 Jun 58
#4			0525-1009-4902	59,340.00	13 July 59
#5			1525-1009-1902	95,331.05	
#6				A 15,500.00	(12 July 60)
#7			2125-1590-5902 A	185,607.00	(5 July 60)

Invoice No.	Date	Amount	Balance	
1	18 Jan 57	125,000.00	125,000.00	
2	/	45,000	—	
#3	29 July 58	27,755.00	55,510.00	auth #3
#4	23 Jun 59	27,755.00	—	
#5	30 Aug 59	59,340.00	—	
#6	15 Aug 60	95,331.05	—	
#7	26 Oct 60	12,917.88	(5582.12) 18,500	15,000.00 12,917.88 5582.12
8	2 Nov	185,100	6000	
9	Nov 60	607.00	—	

Note: